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13D RESEARCH & STRATEGY
Themes & Innovation Since 1983

April 9, 2026

WHAT I LEARNED THIS WEEK®

Believe me, every heart has its secret sorrow which the world knows not; and oftentimes we call a man cold, when he is only sad.

Henry Wadsworth Longfellow

It is essential to understand that battles are primarily won in the hearts of men. Men respond to leadership in a most remarkable way and once you have won his heart, he will follow you anywhere.

Vince Lombardi

A nation that forgets its past has no future.

Winston Churchill

I murmured to Picasso that I liked his portrait of Gertrude Stein. Yes, he said, everybody says that she does not look like it but that does not make any difference, she will.

The Autobiography of Alice B. Toklas

What is hell? I maintain that it is the suffering of not being able to love.

Fyodor Dostoyevsky

I said to the man who stood at the gate of the year "Give me a light that I may tread safely into the unknown." And he replied, "Go into the darkness and put your hand into the hand of God. That shall be to you better than light and safer than a known way!"

King George VI in his 1939 Christmas message broadcast on eve of WWII

Death is not the greatest loss in life. The greatest loss is what dies inside while we live.

Norman Cousins

To succeed in the world, it is much more necessary to possess the penetration to discern who is a fool, than to discover who is a clever man.

Talleyrand

We think too small, like the frog at the bottom of the well. He thinks the sky is only as big as the top of the well. If he surfaced, he would have an entirely different view.

Mao Tse-Tung

A great man is one who seizes the vital issue in a complex question, what we might call the jugular vein of the whole organism, and spends his energies upon that.

Joseph Rickaby

The masses have never thirsted after truth. They turn aside from evidence that is not to their taste, preferring to deify error, if error seduces them. Whoever can supply them with illusions is easily their master; whoever attempts to destroy their illusions is always their victim.

Gustave Le Bon (1841-1931), *The Crowd*

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02 One year after "Liberation Day," the combination of tariff costs, trade-policy uncertainty and supply-chain disruptions is likely to undermine America's ability to service its debt while meeting increasing defense and entitlement spending. Slowing GDP growth will negatively impact tax revenues while inflation erodes consumer purchasing power. This is why the recent correction in gold is likely to prove short-lived. P. 9

03 The Escalation Gap: why U.S. military conventional choices are limited, and could trap it into crossing the nuclear threshold. P. 18

04 This year will be the first since 2021 that China's annual net-wealth creation will be positive. With China's consumer-discretionary stocks at an extreme underweight level, the time could be ripe to buy them. This week, we are adding Midea to the 13D China Cyclical Opportunities and Anti-deflation Index. P. 22

05 "We urgently need something to lead us out of the shallows back into the depths, out of the two-dimensional world of the abstract and theoretical, into the full-bloodedness of embodied life." How did we lose touch? P. 27

06 An electromagnetic pulse attack is one of America's greatest vulnerabilities in infrastructure warfare and could be catastrophic if combined with other asymmetric weapons. What are the implications? *How to invest.* P. 31 5

07 Two landmark cases aligned social media companies with Big Tobacco—and won. What are the implications? P. 35

08 The destruction of the U.S. Air Force F-15E Strike Eagle fighter jet last week incinerated 0.05% of the global supply of the critical-mineral rhenium. The war in Iran is proving that U.S. "just-in-time" mineral and defense-technology supply chains are not fit-for-purpose. What are the implications? *How to invest.* P. 39

09 Electrotech—solar, wind, batteries, electric vehicles, and heat pumps—offer an affordable escape from the volatile world of fossil energy. P. 43

10 The U.S. is actively undermining its relationships with allies. By redirecting Swiss funds without authorization, Washington is encouraging other countries to reconsider their commercial and financial relationships. The implications for global capital are immense. P. 50

11 "Friendship is unnecessary, like philosophy, like art," C.S. Lewis wrote in *The Four Loves*, his 1960 theological book that examines the meaning of love. "It has no survival value; rather it is one of those things that gives value to survival." P. 55

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STRATEGY & ASSET ALLOCATION & PERFORMANCE OF HIGH CONVICTION IDEAS 3

Since September 2020, we have strongly and *repeatedly* argued that a classic paradigm shift into the new market leaders was starting, which would feature commodities, commodity-related and inflation-sensitive sectors, and many of the long-depressed markets. 4

In October 2020, with UST 10-year yields at 0.78%, we warned that bond yields would rise significantly and for a long time as the 40-year bull market in bonds transitions to a secular bear market. 5

For the past 3-4 years, the great question among Western investors has been: "Is China uninvestable?" As long-term contrarians, that is music to our ears! We believe Chinese stocks are in the early stages of a secular bull market. 6

Other important recent developments that support the basis for our high conviction themes: 7

- **The ratio of gold to the U.S. Consumer Price Index (CPI) broke-out in September 2024 from a 45-year downtrend-line.** 8
- The outperformance of the gold miners versus the major U.S. stock market indices has broken-out, as suggested by rising bond-market inflation expectations.
- Sensitive inflation indicators in the markets are starting to come alive.
- The U.S. Dollar appears to be entering a long-term downtrend, which is bullish for commodities and inflation.
- Silver has outperformed gold. And **the relative-performance of the silver miners has broken-out against almost every broad stock-market index in the world.**
- Agricultural commodities and related-stocks are starting to rise, as several agriculture ETFs and fertilizer stocks have broken-out.

These developments lead to the following conclusions: 9

1. Gold is set to outperform the S&P 500 and international stock-markets for many years to come. 10
2. The shift toward hard assets is likely to gain further momentum.
3. China's stock-market could be among the best-performing equity markets in the world.

The Highest Conviction ideas reflect this view, with the following major allocations: 11

Gold, silver and their mining-stocks	26.6% 12
SPDR Bloomberg 1-3 Month T-Bill ETF	21.3%
Chinese equity markets	9.7%
Oil & Gas	9.2%
Critical Minerals	8.9%
Commodities and related-sectors	8.5%

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HIGHEST CONVICTION IDEAS* 3

13D Theme/Index	Inception Date	Cumulative Returns			YTD / Since Inclusion Returns 13D Index	Exposure in Portfolio
		13D Theme/ Index	S&P 500	MSCI World		
13D Oil & Gas Index	2021-02-19	224.4%	87.1%	75.6%	40.7%	9.24%
13D Grid Infrastructure Index	2021-06-24	274.1%	70.4%	62.2%	29.3%	1.75%
13D Defense Index	2016-08-04	674.2%	269.1%	220.9%	27.1%	1.75%
13D Gold Miners Index	2016-02-04	1,001.5%	321.7%	259.5%	25.9%	4.45%
13D Food Security Index	2020-10-22	144.7%	112.8%	104.5%	24.2%	3.22%
13D Critical Minerals Index	2022-08-18	479.8%	66.9%	69.1%	22.8%	3.22%
13D Uranium Index	2018-10-18	1,599.7%	176.1%	151.5%	22.7%	3.06%
13D Special Opportunities Strategy	2024-08-07	281.3%	33.3%	36.1%	16.1%	11.87%
13D Non-U.S. Markets Index	2023-01-13	95.7%	77.5%	73.3%	14.3%	3.00%
13D Copper Index	2024-03-12	119.8%	34.6%	36.3%	11.0%	3.60%
Gold Bullion/PHYS	2016-02-04	313.4%	321.7%	259.5%	10.7%	9.47%
13D China Cyclical Opportunities and Anti-deflation Index	2025-07-16	56.2%	9.3%	11.7%	8.2%	3.22%
13D Gold High Growth Acquisition (HGAX) Index	2020-10-15	245.5%	111.0%	103.3%	6.8%	6.26%
13D Europe Index	2025-08-13	10.6%	5.8%	7.8%	5.3%	1.31%
13D Silver Index	2024-03-14	222.9%	35.2%	36.8%	3.4%	5.80%
Hang Seng Total Return Index	2024-04-30	57.7%	38.2%	39.5%	1.4%	1.93%
13D Water Index	2016-03-24	420.3%	295.4%	241.7%	1.2%	1.05%
SPDR Bloomberg 1-3 Month T-Bill ETF	2024-08-07	7.2%	33.3%	36.1%	0.3%	21.28%
Hang Seng China Enterprises TRI	2024-05-08	45.0%	34.1%	35.8%	-2.5%	4.51%

4

13D Portfolio of Indices	Inception Date	Cumulative Returns			YTD Returns		
		13D Portfolio	S&P 500	MSCI World	13D Portfolio	S&P 500	MSCI World
Highest Conviction Ideas Portfolio**	2016-02-04	2,203.0%	321.7%	259.5%	16.2%	-0.6%	1.1%

5

Data as of 2026-04-08 6

*Highest Conviction Ideas are by far the best of all our themes and where we recommend our clients focus their attention as we have so many of them. This is not static and undergoes frequent revision. **Portfolio of Indices performance includes the backtested history prior to 08/03/2023. It reflects the tactical changes we made over time to include/exclude the Indices and their exposures. To view the changes by date, click here. 7

Over the past week, 13D Highest Conviction Ideas portfolio gained by +1.4%, compared to the gains of +3.2% in both the S&P 500 and MSCI World Index. The key contributors included the 13D Critical Minerals Index (6.6%), 13D Defense Index (5.5%), 13D Europe Index (4.6%), 13D Gold Miners Index (4.5%), 13D Grid Infrastructure Index (4.2%), 13D Water Index (3.4%), 13D Gold HGAX Index (3.4%), 13D China Cyclical Opportunities & Anti-deflation Index (2.7%), HSI (2.5%), and the 13D Uranium Index (2.2%). However, Gold Bullion/PHYS (-0.8%) and the 13D Special Opportunities Strategy (-0.4%) detracted from overall gains. 8

YTD, 13D Highest Conviction Ideas portfolio has risen by 16.2%, which is outperforming the S&P 500 by 16.8 percentage points and MSCI World Index by 15.1 percentage points. 9

Stay tuned! 10

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1 The curse of second order consequences: Six weeks of war has elevated the importance of the Strait of Hormuz in Iran's geostrategic calculations. Washington thinks the regime is using Hormuz as a tactical negotiating tool. This is a false assumption. Instead, Iran views Hormuz as strategic leverage that will strengthen its relative power in the post-war regional architecture. *What are the implications? How to invest.* 3

As we go to press, the ceasefire agreed to on Tuesday evening Eastern time is under growing strain. The U.S. continues to send military assets to the region, the most visible being the USS Bush Carrier Strike Group. And on Wednesday evening, the speaker of the Iranian Parliament, and one of Tehran's most senior officials, tweeted: 4

> ***3 clauses*** *[of Iran's 10-Point Proposal that Trump said would form a workable basis on which to negotiate]* ***have been violated…in such a situation a bilateral ceasefire or negotiations is unreasonable.*** 5

However, regardless of whether the ceasefire holds, there is a deeper and far more consequential development that could reshape the regional balance of power in the Middle East and by extension have broader global implications. 6

Six weeks of war appears to have re-prioritized and elevated the Strait of Hormuz in Tehran's geostrategic calculus. Tehran now views Hormuz as critical to restoring its deterrence, to ensuring its national security and to reshaping the regional post-war order in its favor. This is a big shift from six weeks ago when the regime's nuclear programme, network of regional proxies 7

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and ballistic missile programme were its *primary* modes of deterrence. From the regime's perspective, this hybrid approach failed to provide *sufficient* deterrence to prevent the U.S. and Israel from assassinating the Supreme Leader and initiating six weeks of strikes on military *and civilian infrastructure*. 3

A new and evolving deterrent strategy now appears to be in the works whereby Tehran is looking to place **heavier emphasis on *economic deterrence*** going forwards *alongside* its current military-deterrence capabilities. It is within this context that the regime is starting to leverage what it describes as *"an imposed war"* (جنگ تحمیلی) by American and Israeli aggressors to fundamentally reframe the role of the Strait of Hormuz in its geostrategic calculus **such that Tehran emerges as an integral and elevated actor in the post-war regional architecture.** 4

The last six weeks have underlined to Tehran how its most powerful weapon is not so much its missile and drone capabilities *per se* but rather its ability to *de facto* control the flow of vessels through the Strait of Hormuz and by extension the leverage this creates on global energy markets, insurance rates and maritime security. 5

This evolution in Tehran's deterrence strategy was on full display last week when the Iranian Parliament initiated a fast-track process to formalise into law Tehran's management of the Strait of Hormuz. **According to one Iranian MP, the plan has four objectives: shipping security, environmental pollution tolls, collecting fees for navigational guidance and creating a regional development fund for reconstruction.** Underscoring this shift, the Iranian navy earlier this week said that the Strait of Hormuz would *"never return to its former state"* and vowed to impose a *"new Gulf order."* And last weekend, in an early sign of coordination between Tehran and Oman – the other coastal state on the Strait of Hormuz – Iranian and Omani officials met to discuss *"possible options for ensuring smooth passage through the Strait of Hormuz."* 6

Six weeks ago, around 20% of global energy flows – not to mention a significant share of global petrochemicals, ammonia, urea, sulphur and helium – flowed through Hormuz unimpeded. However, **if Tehran is now repositioning Hormuz as central to its national security and deterrence posture, with vessels needing to coordinate with the IRGC to ensure safe passage, then that has potentially seismic and longer-lasting implications.** 7

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First, it affords Tehran enormous influence and power to effectively run a *permissioned* gate-keeper toll system through the Strait of Hormuz. And here lies a critical nuance. For the regime, a *complete* closure of Hormuz is not a sustainable strategy as it would risk further isolation and would invite overwhelming international pressure. **However, a *permissioned* Strait of Hormuz – one that remains open for non-combatant countries and those not allied with the U.S./Israel – is a very different proposition.** Pursuing this path, Tehran will calculate that it has time on its side until countries faced with growing *economic* pressure to either export their products (i.e. the Gulf countries) or to secure supplies (i.e. Asia/Africa/potentially some European countries) approach Tehran on a one-to-one basis to secure a deal and guarantee safe passage. 3

While vessel traffic through Hormuz is still a fraction of what it was before February 28, **a growing list of countries including India, China, Russia, Iraq and a number of South East Asian countries have managed to secure safe passage for *some* of their vessels by engaging diplomatically with Iran.** This in itself has had the unintended consequence of bolstering the international recognition of the regime at a time when it was weakened following the January protests and now, after six weeks of war, has become even more radical, embittered and revengeful ***towards U.S./Israeli interests.*** With Trump's stinging rebukes of NATO's non-involvement in the war coupled with *Foreign Policy* last week describing U.S.-South Korea relations as being at *"breaking point,"* it begs the question *"who has become more isolated in the last six weeks: US/Israel, or Iran?"* 4

An article this week in the *New York Times* by Robert Pape, Professor of political science at the University of Chicago, argued how Iran's permissioned system over the Strait of Hormuz could elevate its relative power. In a piece titled *"The War Is Turning Iran Into a Major World Power,"* Pape argued: 5

> *In recent years,* ***the conventional geopolitical wisdom has been that the world order was moving toward three centers of power****: the United States, China and Russia. That view assumed that power derived primarily from economic scale and military capability.* 6

> *That assumption no longer holds.* ***A fourth center of global power is quickly emerging — Iran —*** *that does not rival those three nations economically or militarily.* ***Instead, its newfound power derives from its control over the most important energy choke point in the global economy, the Strait of Hormuz.*** 7

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President Macron of France echoed similar comments last week when he said: 3

> *The liberation of the Strait of Hormuz by force through a military operation… It is unrealistic…* ***This can only be done in concert with Iran.*** 4

However, Hormuz taking a more central role in Tehran's national security and deterrence posture has implications beyond geopolitics. It also has global geoeconomic implications. 5

Just over four years ago, in *WILTW* March 3, 2022, we discussed the importance that the so-called Triple Axis of China, Russia and Iran would have on the global order. 6

We wrote: 7

> ***While the relationship between the three countries is nuanced, and internal differences and suspicions do exist, they are nonetheless bound by a common cause of achieving self-reliance, reducing their dependence on the dollar and challenging the incumbent international order that, from their perspective, they had no say in creating.*** *These motivations will only grow with time. They will not dissipate.* 8

We went onto quote from a book called *Triple Axis: Iran's Relations with Russia and China,* by Dina Esfandiary and Ariane Tabatabai: 9

> ***The three countries seek to assert themselves as regional hegemons and reduce the influence of the West, particularly the United States, in what they view as their own backyards.*** *Ultimately, Beijing, Moscow and Tehran want the international order to better reflect the interests of "rising" non-Western states…* 10

Fast forward to today and Iran's nascent efforts to formalise its leverage over Hormuz aligns with Moscow and Beijing's longer-term ambitions to challenge the dollar's monopoly on energy pricing and to create an alternative monetary, trade and financial *system* that is based on gold as the reserve asset ***and not U.S. Treasuries***. While Iran is sanctioned out of the Western financial system, receiving payments in CNY to allow vessels through Hormuz could further boost Beijing's efforts to internationalise the CNY and to financialise the currency around gold (see reports). 11

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Seen from this light, Hormuz is not simply a tactical tool to be negotiated by Iran to secure a temporary ceasefire (which as we have argued in *WILTWs* March 12 and March 19 is not what the regime wants). Rather, **Hormuz now represents something far consequential; it represents a critical jigsaw piece in a broader strategic game that seeks to reorder the security architecture around global energy flows and the monetary system that underpins it.** 3

*** 4

The cleanest way for investors to leverage these developments is through gold bullion, the 13D Gold Miners Index and the 13D Oil & Gas Index. We suspect markets will remain headline-driven and volatile over the coming weeks. We have raised 21.28% in 1-3 Month T-Bills to take advantage of further opportunities that will likely present themselves over the coming weeks and months. 5

2 **One year after "Liberation Day," the combination of tariff costs, trade-policy uncertainty and supply-chain disruptions is likely to undermine America's ability to service its debt while meeting increasing defense and entitlement spending. Slowing GDP growth will negatively impact tax revenues while inflation erodes consumer purchasing power. This is why the recent correction in gold is likely to prove short-lived.** 6

We have followed the performance of key economic trends in the trade-policy debate since tariffs were announced in April 2025, including trade deficits, manufacturing investment and employment, inbound FDI and price inflation. 7

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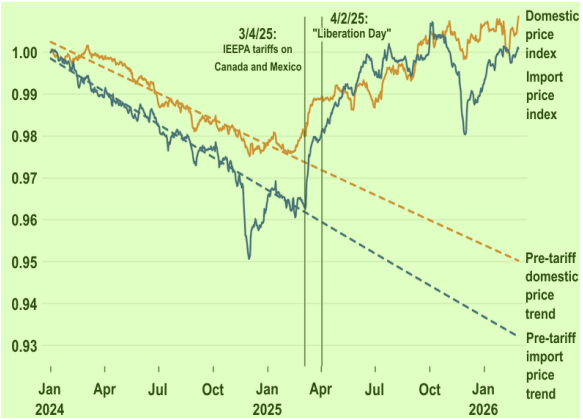
(See *WILTWs* April 3, April 17, June 5, July 31 and November 27, 2025.) Adding to the mountain of evidence, the Cato Institute's Scott Lincicome, Alfredo Obregon and Chad Smitson published a summary of key tariff effects in an April 2nd article titled **"One Year After Liberation Day: Here's What We Know and What We Don't."** Below, we discuss some of their conclusions as well as ours. 3

Price inflation. In our view, any discussion of the effects of tariffs must focus first and foremost on price impacts, diverted corporate profits and the loss of purchasing power. As we have noted previously, **the tariffs exerted enough upward pressure on overall price levels for goods that they broke their long-term deflationary trend.** (See left-hand chart below.) 4

However, it is also true that U.S. importers absorbed most of the cost of the tariffs early-on, although this trend appears to have diminished in recent months. Furthermore, **U.S. businesses accelerated their build-up of inventories in advance of the tariffs, providing a boost to imports early in the year.** (See right-hand chart below.) 5

The 2025 tariffs led to an increase in the prices of domestic and imported goods 6

U.S. retail prices for domestic and imported products, indexed to January 2024.



7

Source: Cavallo, Llamas, and Vasquez (2025). 8

Pre-buying or excess imports has created a buffer of about 3 weeks 9

10

Source: Census Bureau, Haver Analytics, Deutsche Bank Asset Allocation 11

Source: Cato Institute, Deutsche Bank 12

Subsequent to Liberation Day, the growth in U.S. business inventories decelerated sharply, with **the business-inventory-to-sales ratio finishing January at the lowest level in 3.5 years.** It appears that businesses have been rebuilding their inventories more recently, after the IEEPA tariffs were invalidated by the Supreme Court. 13

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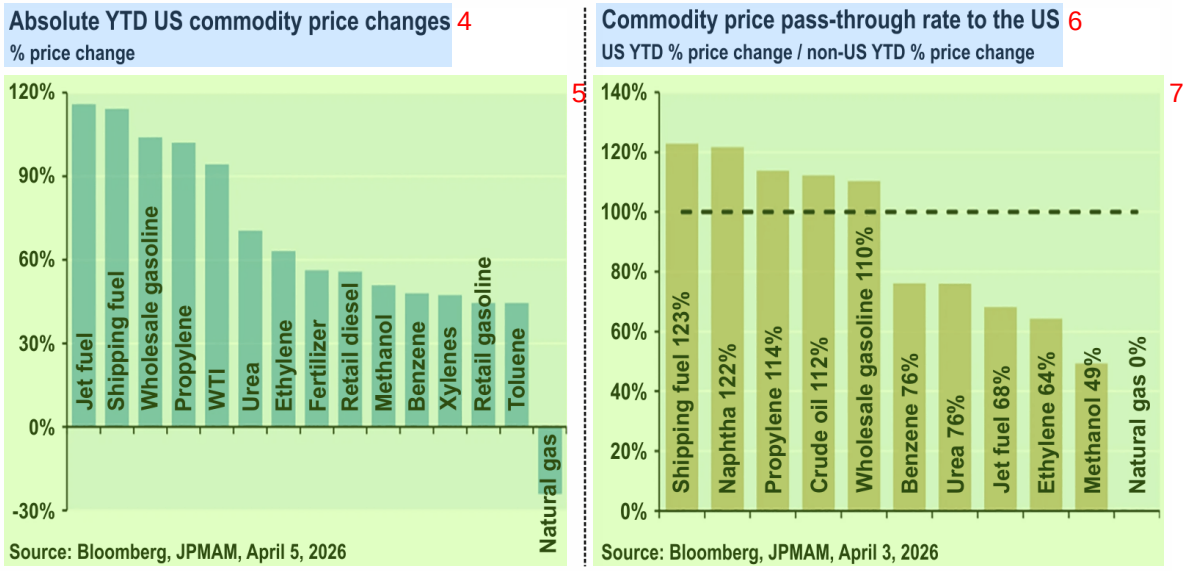
The inflationary effect of the tariffs is likely to hit harder over the course of 2026, and this will be exacerbated by the Persian Gulf supply-chain disruptions for crude oil, petrochemicals, fertilizers, aluminum and other commodities. **YTD price changes exceed 30% for many commodities, and the U.S. is indeed bearing the brunt of those increases even though it imports very little crude oil (less than 1 mb/d) directly from the Gulf.** (See charts below.) *As Dartmouth economist Douglas Irwin has noted, more than half of U.S. imports are used as inputs for domestically-manufactured goods.* 3



Source: JPMorgan Asset Management 8

Trade deficits. One of Washington's main goals was the reduction of the trade deficit in goods. **But trade deficits did not fall as hoped**, partly due to the front-loading of inventories and also due to accelerated imports of non-monetary gold after initial fears of tariffs on the yellow metal circulated. **Excluding gold imports, there has been little change in the trade deficit since April 2025.** (See charts below.) 9

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Trade deficit with gold, monthly 3

4

Trade deficit minus gold, monthly 5

6

Source: Cato Institute 7

Inbound FDI. Although the White House frequently advertises trillions of dollars in promises of investment from other countries, so far, foreign direct investment (FDI) inflows have not registered any growth. In fact, **inbound FDI has been in a downward trend since 2Q-2025, and total FDI inflows of $288.4 billion in 2025 were lower than the annual totals from 2021 to 2024,** according to Cato. (See chart below.) 8

This rate of FDI inflows is far short of the amount needed to achieve the administration's stated goal of $18 trillion of foreign investment, *although this figure has been widely criticized for being over-inflated and non-binding*. And given the current economic and geopolitical strains over the situation in Iran, the likelihood of meaningful near-term increases in foreign investment appears slim. **With Persian Gulf sovereign wealth funds (SWFs) controlling $5 trillion of assets, and the EU holding investments of $12.6 trillion in the U.S., the risk of repatriation of capital flows has never been greater.** 9

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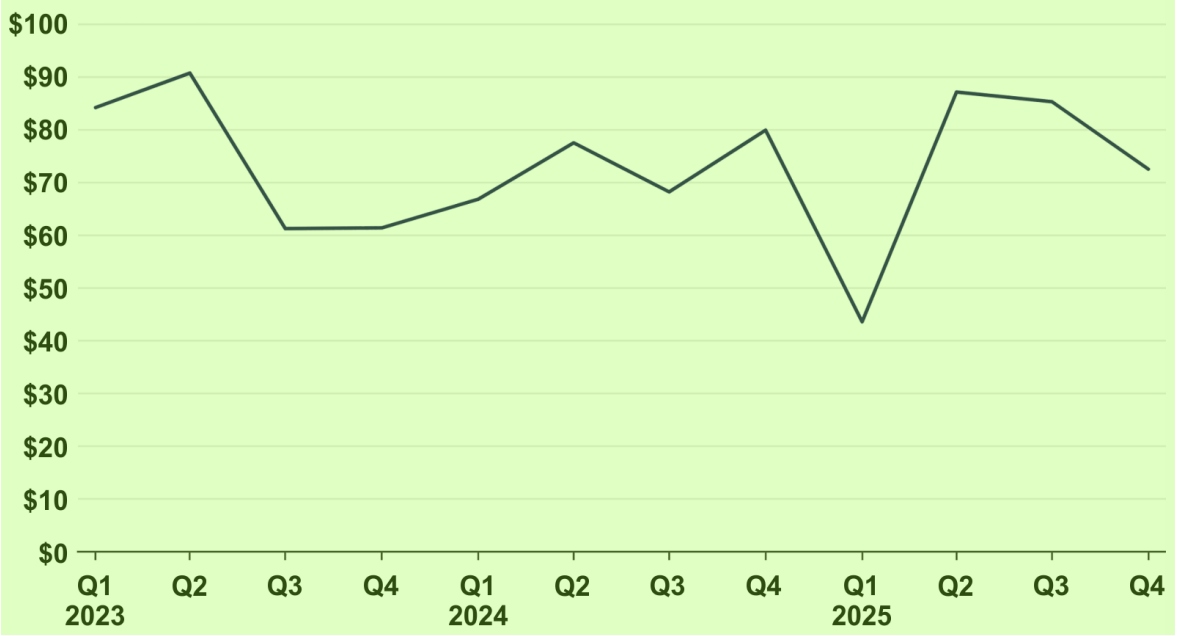
Foreign direct investment in the U.S. did not increase significantly in 2025 3

Quarterly U.S. foreign direct investment inflows, billions of U.S. dollars, seasonally adjusted 4



5

Source: Bureau of Economic Analysis. 6

CATO INSTITUTE 7 8

Source: Cato Institute 9

Trade-policy uncertainty. Uncertainty for business planners has been exacerbated by the haphazard way the tariffs were implemented and also due to the challenges of getting refunds of IEEPA tariffs that were invalidated by the Supreme Court. (See charts below.) For many small companies, **tariff refunds can be the difference between staying in business or not**. And, we suspect that corporate hiring and capex decisions will increasingly be put on hold the longer the risk of renewed hostilities in Iran lingers. 10

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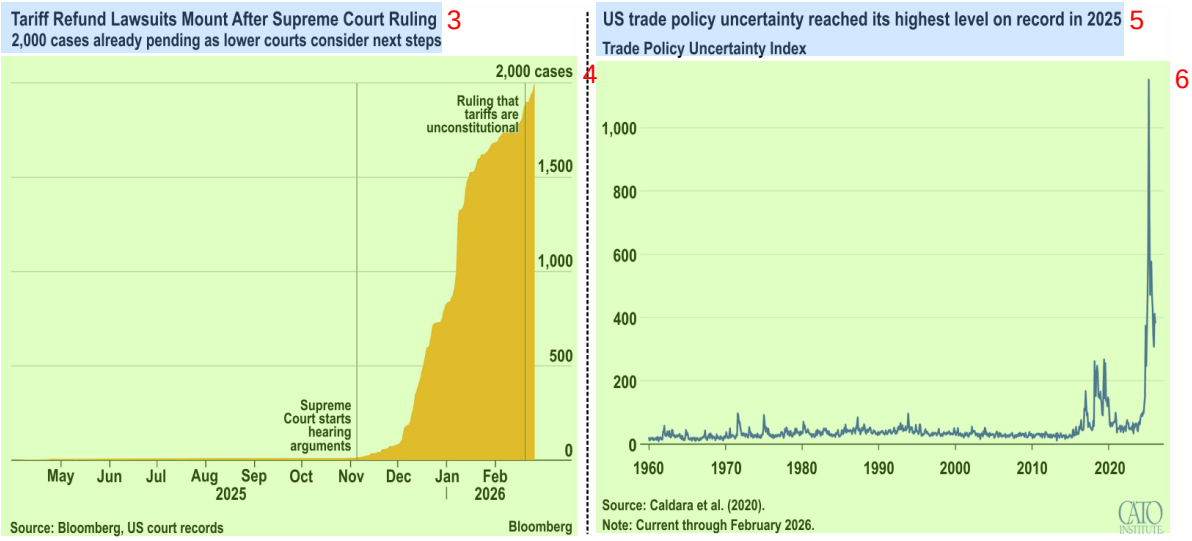

Source: Bloomberg, Cato Institute 7

U.S. trade partners are making their own deals among themselves. It is no surprise that America's traditional trade partners are increasingly signing deals among themselves (see chart below) given the White House's hostility toward global trade and its loss of trust among U.S. allies. (See *WILTWs* April 3 and July 17, 2025.) 8

This upends decades of trade liberalization that enabled real exports of goods and services to grow 4.9% annually in the U.S. over the past forty years, nearly double the rate of real GDP growth. Exports of goods and services in nominal terms grew from nearly 7% of GDP in 1985 to around 11% in 2025, after topping-out above 13% in the early-2010s. 9

The bitter irony of "America First" is that U.S. consumers will be saddled with higher inflation, lower purchasing power and slower job creation as other countries reap the economic benefits of reduced trade barriers while increasing their global competitiveness. 10

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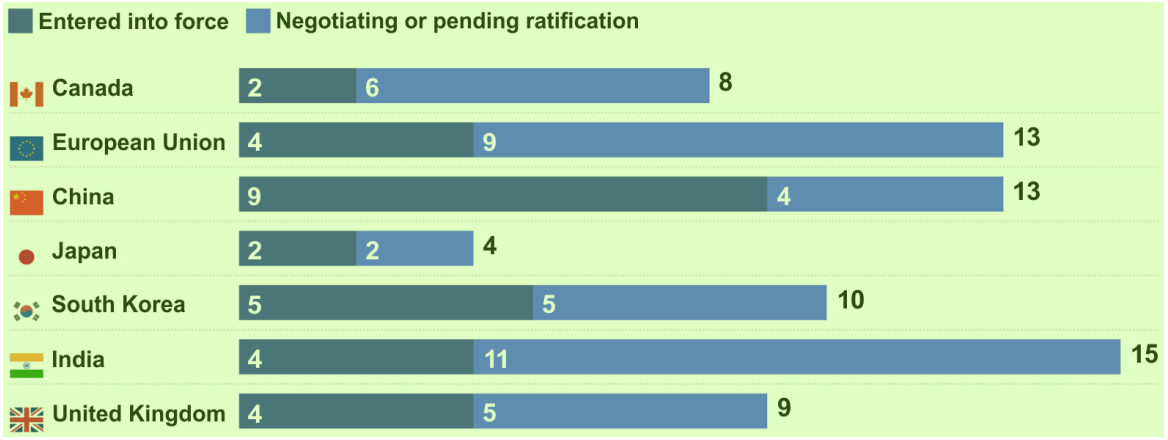
U.S. trading partners and allies have negotiated multiple trade agreements since 2020 3

Agreements in negotiation or that entered into force since 2020 4



5

Sources: World Trade Organization; Government of Canada; European Commission; Ministry of Commerce, People's Republic of China; China Briefing; Department of Commerce, Government of India; India Briefing; Ministry of Foreign Affairs of Japan; Korea Customs Service; and House of Commons Library, UK Parliament.
Notes: Only includes negotiations for which substantial progress has been made in recent years. Excludes accessions to existing trade agreements (except the United Kingdom's accession to the Comprehensive and Progressive Agreement for Trans-Pacific Partnership). For the United Kingdom, only agreements and negotiations that are not rollovers from the UK's membership in the European Union are shown. 6

CATO INSTITUTE 7

Source: Cato Institute 8

Manufacturing jobs and facilities. Manufacturing employment and spending on construction of manufacturing facilities have both fallen over the past 12 to 18 months—the opposite of what was intended. **Real private fixed investment in manufacturing structures fell 16% between 3Q-2024 and 4Q-2025, while the number of employees in manufacturing has fallen over 100,000 since early last year.** (See charts below.) Although these trends may stabilize in the near future, we doubt they will reverse meaningfully and sustainably given the supply-chain disruptions in the Middle East. 9

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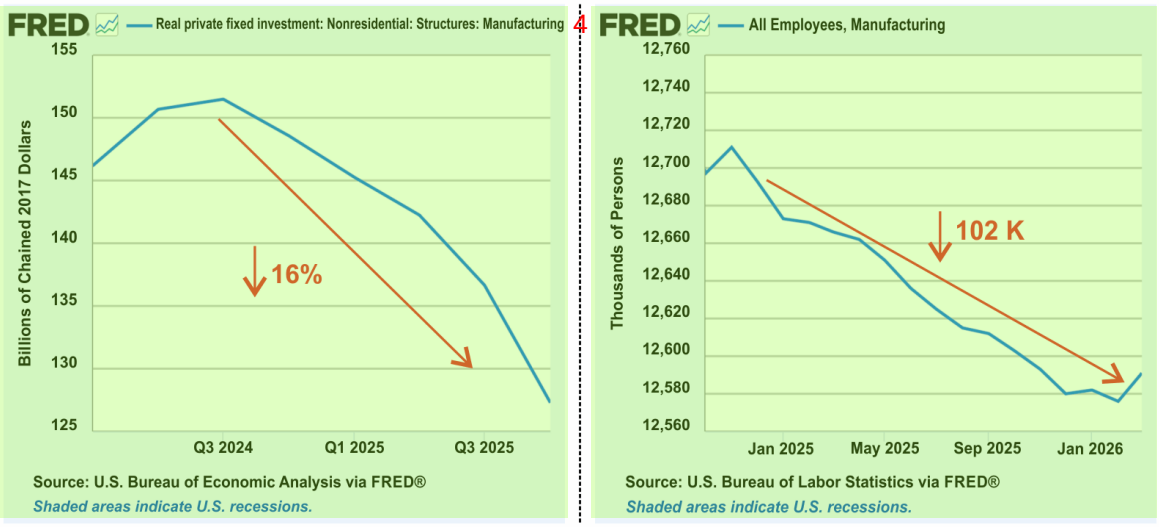
Real private fixed investment: manufacturing (left) and Manufacturing employment (right) 3



Source: St. Louis Fed 6

The aforementioned trends will undermine the economic growth that is needed to generate future tax revenues, fund social insurance programs and defense spending, and service the growing debt load. **The growth rate of U.S. "Real Final Sales to Private Domestic Purchasers" was in a downward trend throughout last year, falling from 2.8% y/y in Q1 to 2.4% y/y in Q4.** This data series is not influenced by quarterly distortions in net exports and inventories, and therefore provides a better picture of underlying economic growth. (See left-hand chart below.) 7

The worst part about having tariff-induced inflation compounded by a supply shock is that it will make federal budget deficits even bigger than expected while negatively impacting consumers' real income and spending power. It increasingly appears that the federal deficit could exceed 6% this year, and as the right-hand chart shows, the future gap between revenues and spending is likely to widen further in the years ahead—and this was the forecast *before* the Iran War and the president's proposed 40%-plus increase in defense spending. 8

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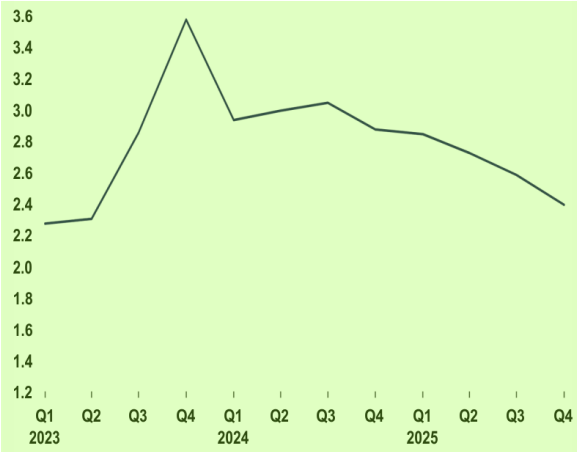
Real Final Sales to Private Domestic Purchasers 3
Percent change year on year, seasonally adjusted



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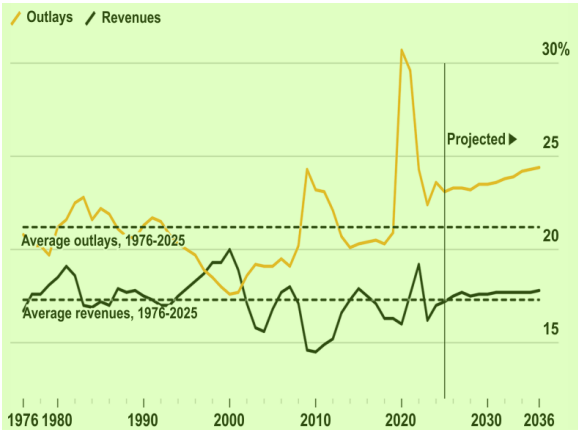
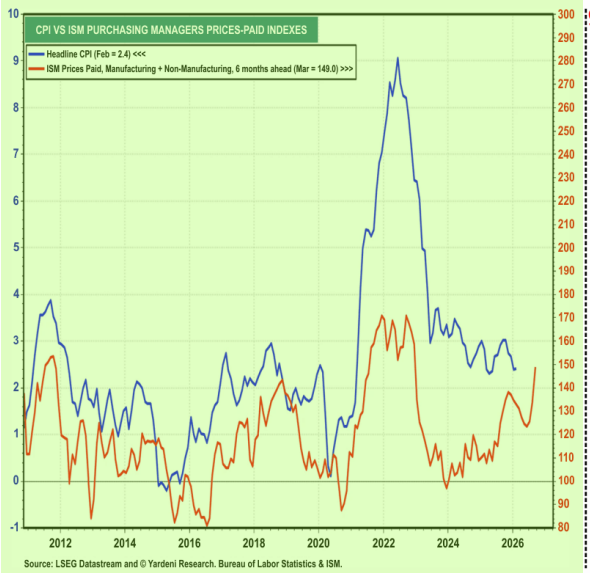
Gap Between Revenue and Outlays Grows 5
US federal revenues and outlays as a percentage of gross domestic product, 1976 to 2035



6

Source: Cato Institute, Bloomberg 7

All indications point to an inflationary outcome persisting for the foreseeable future. **The headline CPI is likely to follow the uptrend in the ISM Prices Paid Index** (see red line in left-hand chart below). **And the 10y-10y forward UST yield has risen to two-decade highs, which points to unfolding stress in the Treasury market** and potentially higher inflation down the road. *The negative impact on economic growth points to a stagflationary outcome that supports our gold and resource-oriented investment recommendations.* 8



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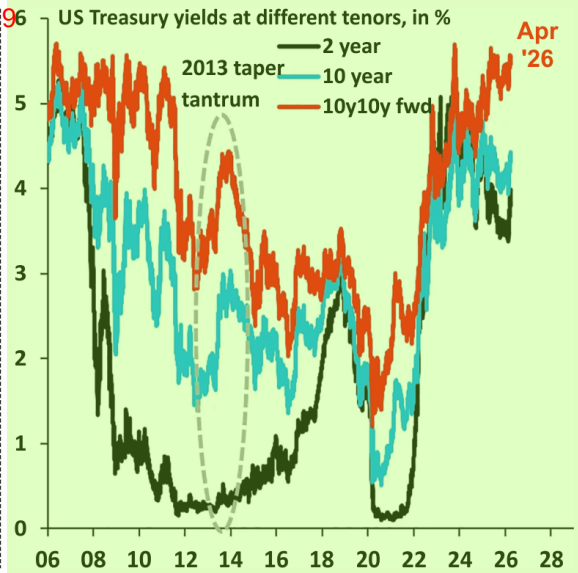

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Source: Yardeni Research, Robin Brooks 11

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The strong recovery in gold prices from their deeply-oversold level is an encouraging sign that a durable bottom was probably registered last month, when sentiment levels reached bearish extremes. (See *WILTW* March 26, 2026.) **A clean breakout of the downtrend line, at around the $5,000 level, would be very bullish for the yellow metal.** 3

4

Source: StockCharts 5

3 The Escalation Gap: why U.S. military conventional choices are limited, and could trap it into crossing the nuclear threshold. 6

The U.S. military maintains a potent expeditionary force, and, in theory, can scale up to project impressive conventional-military power anywhere in the world before needing to resort to nuclear weapons. However, for a variety of practical and political reasons, the U.S. can't quickly add more conventional military 7

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pressure after reaching a certain limited level of force, a level it has now reached in the Middle East. **This leaves a dangerous gap between the use of limited military force and the need to use nuclear weapons to salvage an impasse such as the conflict in Iran**. 3

Given the global reach of its bomber force; a world-wide network of U.S. Air Force (USAF) bases with shorter range fighter-bombers; by far the world's largest aerial refueling tanker fleet to extend their range; combined with an Army brigade-sized Immediate Response Force of around 5,000 airborne troops with transport aircraft that can deploy them on 18 hours notice, **the U.S. can rapidly deliver thousands of pounds of bombs and a small-but-effective ground fighting force anywhere in the world within a day**. In addition, the U.S. normally has six aircraft-carrier-strike groups (CSG) at sea, each with an air wing of 70 aircraft and three or four missile launching ships and submarine escorts. It also typically maintains three Marine Expeditionary Units (MEU), each with 2,500 Marines along with their own transport, supply and aircraft support who are able to arrive on any shoreline within two weeks. Elite special operations units such as the U.S. Army Rangers and their associated aviation support rounds out this capability with several thousand more specialized soldiers. **It is this vanguard that has been brought to bear against Iran.** 4

U.S. military planners designed this force to rapidly bring a considerable amount of firepower against a potential adversary under two general scenarios: a defined operation using air power and up to 30,000 troops or so lasting no more than 4-5 weeks to achieve a specific goal, or as an advance force to "buy time" while units that take longer to assemble are organized and moved into the operational zone. Actions such as Operation Absolute Resolve (the capture of Venezuelan President Maduro) are examples of the first type of operation, whereas the initial actions in Afghanistan shortly after the 9/11 attacks are an example of the second. **In brief, for both budget and operational reasons, the U.S. military is not designed to be able to immediately undertake sustained actions requiring a large standing military.** 5

It takes time to mobilize and deploy major active-duty units, much less the Reserve or National Guard units they need for additional logistical and combat support. Operation Desert Shield and the subsequent Operation Desert Storm against Iraq are good examples. An alert brigade of the 82nd Airborne was on the ground for Desert Shield only 31 hours after the initial orders, and additional 6

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air defense and USAF units followed within days. **However, it took six months to gather the 500,000 troops needed for Desert Storm, the actual assault to overcome the Iraqi occupation of Kuwait.** A similar period of time was required prior to the final invasion of Iraq in 2003. 3

Given the smaller size of today's armed forces, it would be difficult to assemble a force that size to invade Iran even if the U.S. wanted to do so. In addition, political factors are also stacked against mobilizing a larger force. In both 1991 and 2003, there was broad popular support for the disruption and cost of mobilization. For the U.S. to send significant additional army units to face Iran, much less actually call up reserves, would be unthinkable in today's political environment, with mid-term elections only six months away, support for the war with Iran under 40% and presidential approval hovering at 35% and even lower in some polls. 4

We have previously discussed (*WILTW* March 5th) the limited time frame in which the U.S. can sustain military operations. Therefore, the U.S. faces a near insoluble dilemma. In Iran, it has run out of options beyond one last "shock and awe" conventional bombing campaign. If that failed, **given the inability of the U.S. and Israel to neutralize the Iranian missile bases located underground, tactical nuclear weapons would be perhaps the only remaining option to defeat Iran.** 5

Over the last two decades, as the U.S. has drawn down its sizable Cold-War era conventional military, it has developed and deployed several new classes of small, selectable-yield nuclear weapons. **These weapons were designed specifically with targets in Iran and North Korea in mind.** Both North Korea and Iran have facilities tunneled deep within granite mountains that are nearly impervious to conventional explosives. In contrast, a small nuclear bomb, with its much larger shockwave, could potentially destroy them. 6

Nuclear weapon yields are measured in thousands of tons of TNT, or kilotons (kt). **It is important to realize these new devices are not large, city destroying weapons.** These are far smaller than the weapons used in World War II on Hiroshima and Nagasaki, which were approximately 25kt, but are under 5kt and in some cases can be selected to yield 1kt or less. **Still, a 1kt nuclear weapon is a hundred times more powerful than the largest non-nuclear weapon in the U.S. arsenal, the GBU-57, which has a yield of about 10 tons of TNT or 0.01 kt.** In addition, the heat, radiation, and electromagnetic pulse (EMP) can 7

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cause damage in ways conventional explosions cannot, assuring the destruction of these highly-protected targets. 3

Is the administration seriously considering using nuclear weapons? The White House response has been ambiguous, with the rapid response twitter account denying that comments by Vice President Vance implied their potential use. Yet, shortly after, Press Secretary Karoline Leavitt said "Only the President knows where things stand and what he will do." **President Trump has in the past suggested that he would be willing to use them, even prior to his election in 2018.** But crossing the nuclear threshold would carry many unpredictable risks, and may well have been a factor in the sudden moves to try to end the Iran war this week. 4

Most discussion of the use of tactical nuclear weapons has centered on their potential use by Russia, despite the fact that for the reasons noted above the most likely first user would be the United States. **Until recently there was little discussion of the ramifications of first use by the U.S.** The most likely immediate impact would be widespread international condemnation. Typically, the international community would institute crippling sanctions and trade restrictions, however, while the U.S. role has diminished over recent years, the central role it still plays in the Western economic system would be hard to replace on short notice. Nevertheless, **nuclear weapon use by the U.S. would dramatically accelerate the attempts by many countries to disengage from America**. 5

A major result of the use of a nuclear weapon would be a mad scramble by non-nuclear states who have the ability to obtain them to achieve a nuclear capacity as quickly as possible. A number of states are thought to have the capability to rapidly build nuclear weapons, such as Japan, Germany, South Korea, and Saudi Arabia. Other countries could likely do so within years. **Essentially anyone currently running a nuclear power plant could technically build a nuclear weapon – and many would probably do so.** 6

For over a decade, military planners have been warning that the U.S. was ill equipped to engage in a sustained war of attrition against even a second-tier power, much less a near-peer adversary such as Russia or China. These warnings have proven prescient as America enters its second month of the campaign against Iran, and faces the exhaustion of its precision conventional arsenal with 7

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a limited ability to escalate conventionally by bringing in the large ground forces needed for an invasion. **This leaves the U.S. with a stark choice: accept defeat, or use the ultimate weapon, with all the ramifications that entails.** While the current crisis may or may not be abating, this is a choice the U.S. will face again unless it reforms its conventional military capacity, or charts a different foreign policy path. 3

4 This year will be the first since 2021 that China's annual net-wealth creation will be positive. With China's consumer-discretionary stocks at an extreme underweight level, the time could be ripe to buy them. This week, we are adding Midea to the 13D China Cyclical Opportunities and Anti-deflation Index. 4 5

The bear market in China's property sector has reportedly erased some 150 trillion yuan of wealth in the past five years or so, implying an average wealth loss of around 30 trillion yuan per year. Over time, the negative wealth effect has diminished as lower base effects kicked-in: *a 10% decline in property prices today implies a wealth loss of 25 trillion yuan, compared to nearly 40 trillion yuan five years ago.* 6

On the other hand, **since its bottom in September 2024, the Chinese stock market** (now with a total market cap of 110 trillion yuan) **is growing at around 15%-20% every year (roughly 20 trillion yuan),** in addition to China having the highest saving rate in the world. Furthermore, the real economy is growing at around 5%, adding a total of 25 trillion yuan of new wealth since 2021 (or roughly 7 trillion yuan per year). 7

Together, the stock market and real economy should have a combined positive wealth effect of roughly 27 trillion yuan this year, overwhelming 8

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the 25 trillion yuan estimated loss from the housing market. Therefore, even assuming that the bear market in China's property sector continues, *it is highly likely that starting this year, there will be a net positive wealth effect for the first time since 2021.* 3

This will be hugely supportive for household consumption, especially discretionary items such as cars, home appliances, premium liquor, and the like. Corroborating this point, since the beginning of this year, we have seen the fundamentals of discretionary consumption improve. Consider the following: 4

- Kweichow Moutai, China's premium liquor maker, raised the ex-factory/wholesale price of its flagship 53-degree Feitian Moutai to CNY 1,269 from CNY 1,169 per 500-ml bottle and increased the retail price from CNY 1,499 to CNY 1,539 per 500-ml bottle, effective March 31st. **This is Moutai's first price hike in 30 months.** 5

- L'Oréal's China market sales growth accelerated from 1% year-over-year in 1H 2025 to 5% year-over-year in 2H 2025. **Sales of North Asia—home to the China market—stabilized in 2025, increasing 0.5% year-over-year, reversing a two-year decline.** According to CEO Nicolas Hieronimus, premium consumption in the China market is recovering, which has strengthened L'Oréal's confidence.

- **The mainland market of Estée Lauder, a premium skincare brand, delivered organic growth of 13% year-over-year**, registering the second consecutive quarter (ended December 31, 2025) of double-digit growth and making the Chinese market a key contributor to the group's overall recovery.

- Nationwide, various home-appliance makers are reportedly planning a round of price hikes of about 10%, **the first price hike since 2021.**

- There also have been sporadic reports on price hikes for cement, a key input for real estate and infrastructure projects.

The improving fundamentals of consumer discretionary sectors have been in stark contrast to the weighting allocated to the sector by the broad-based index. The following chart shows the weightings allocated to the consumer discretionary sectors by **the CSI 300 Index** since 2007, on a monthly basis. 6

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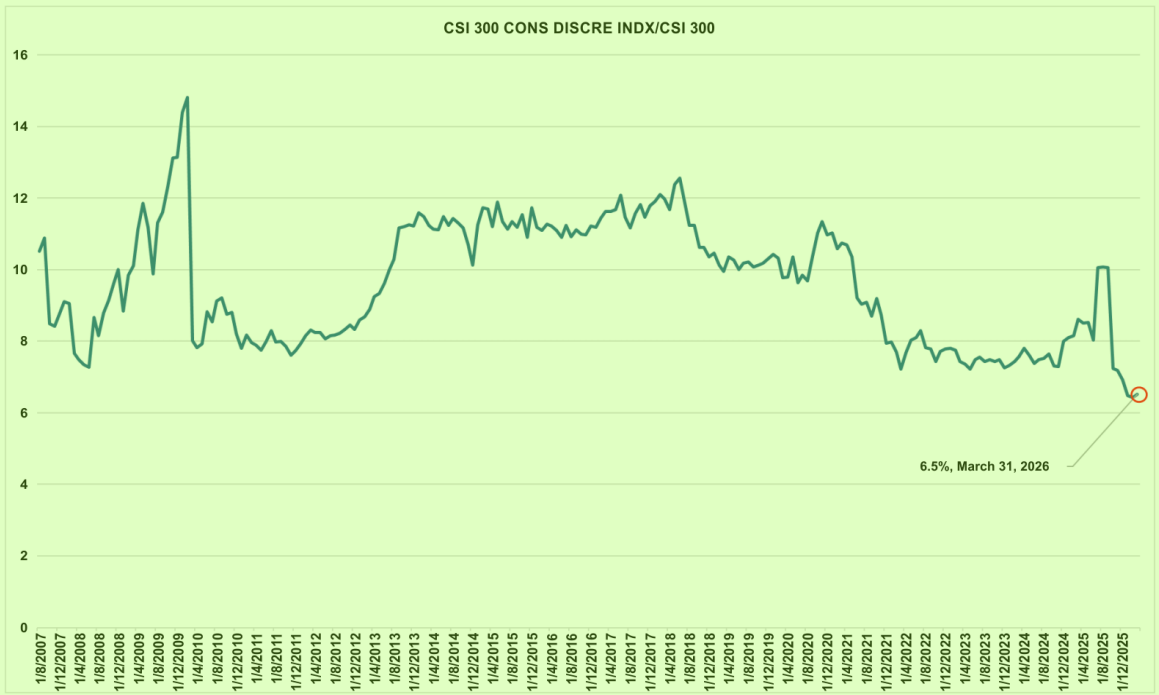
The all-time peak of the weighting allocated to the consumer discretionary sectors was registered at roughly 15% during the period around 2010. Then it dropped below 8% in the early 2010s and rebounded to around 12% in the late-2010s and early-2020s. **In recent months, however, this ratio has dropped to as low as 6.5%, an all-time low since records began in 2007.** 3

Weightings Allocated to the Consumer Discretionary Sectors by the CSI 300 Index since 2007, monthly 4



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Source: Bloomberg and 13D Research & Strategy 6

Being long-time contrarian investors, we are always attracted to anomalies. Over the years, we have participated in many instances when unfavored sectors made big turnarounds during subsequent months. 7

For example, before **the CSI Upstream Index** (SH 000961, CNY 5,609) broke out of its 17-year downward trendline last July, which we called timely in *WILTW* July 24, 2025, the raw materials sector was significantly underweighted by the CSI 300 Index (at only 7.4% in July 2025). 8

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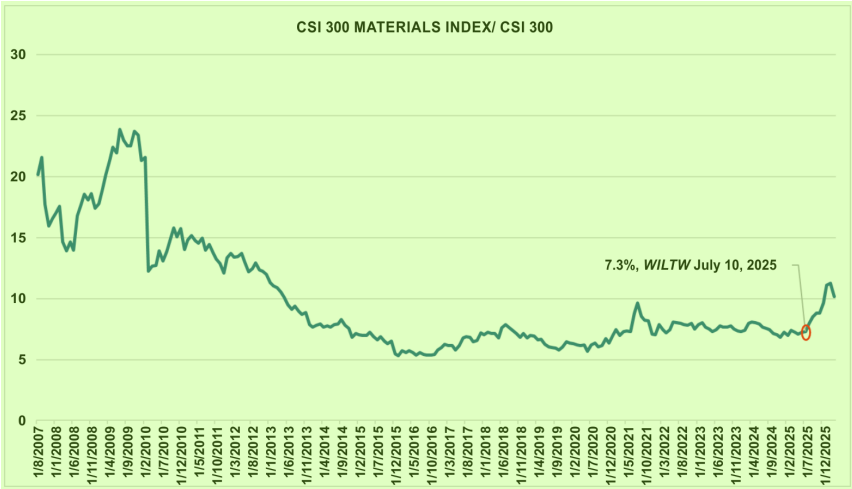
Weightings Allocated to the Raw Materials Sectors by the CSI 300 Index since 2007, monthly 3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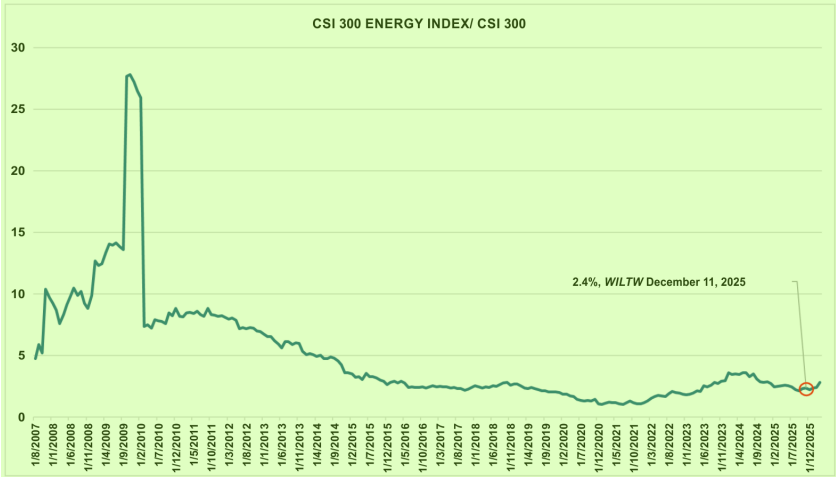
Source: Bloomberg and 13D Research & Strategy 5

Similarly, before **the CSI Energy Index** (SH 000928, CNY 3,472) broke out of its 18-year downward trendline last December, which we also called timely in *WILTW* December 11, 2025, the energy sector was also significantly underweighted by the CSI 300 Index (at only 2.4% in December 2025). 6

Weightings Allocated to the Energy Sectors by the CSI 300 Index since 2007, monthly 7


 8

Source: Bloomberg and 13D Research & Strategy 9

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In both cases, the weightings of the raw material and energy sectors reached or approached their multi-year lows, and those lows were soon followed by major breakouts in subsequent months. 3

Will the same thing happen to the consumer discretionary sector this time around? Only time will tell, but it would be unwise to ignore the track record outlined above. 4

In order to gain more exposure to China's discretionary consumer stocks, **this week, we are replacing Alibaba** (9988 HK, HKD 122.90; BABA US, USD 125.32) **with Midea in our 13D China Cyclical Opportunities and Anti-deflation Index.** The weightings for each component will stay unchanged. The change will be made as of this Thursday's market close. 5

Moreover, **we reiterate buy recommendations on other key discretionary consumer stocks in the index, BYD and Fuyao, both of which have already been included in the index**. We reintroduce them briefly in the following texts. 6

Midea Group (000333 CH, CNY 76.52; 300 HK, HKD 85.60) **is the world's largest air conditioner (AC) maker, with a global market share of 27.5% in 2024.** 7

In December 2025, Midea, together with other major AC makers, signed the Self-Regulatory Convention on Enhanced Aluminum Application, promoting the substitution of aluminum for copper in AC heat exchangers. *Replacing copper with aluminum can significantly reduce costs, enabling Midea to gain market share without sacrificing its gross margins.* 8

Midea's H-shares trade at a P/BV ratio of 2.7x and now carry an implied dividend yield of 5.1%. 9

Fuyao Glass Industry (600660 CH, CNY 57.68; 3606 HK, HKD 61.25) **is both the world's and China's largest automotive-glass manufacturer,** commanding over 37% of the global market in 2025, up 3 percentage points from 2024. 10

By leveraging vertical integration—producing 90% of its float glass in-house—Fuyao achieves significant cost advantages over competitors, with a gross margin of 37.3% and a net margin of 20.4% in 2025, far exceeding the industry average, which was below 30% and below 15%, respectively. 11

Fuyao's H-shares trades at a P/BV ratio of 3.8x, versus its all-time low P/BV ratio of 3.5x registered in August 2024. Fuyao's H-shares now carry an implied dividend yield of 4.8%. 12

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BYD (002594 CH, CNY 99.03; 1211 HK, HKD 101.80) **is the world's top-selling EV maker, selling more than 4.19 million EVs in 2025, capturing 20% of the global market.** BYD can offer competitively-priced EVs while maintaining a gross margin of 17.7% in 2025, significantly higher than the industry average approximating 15%. 3

At its earnings call in March 2026, **BYD claimed to be "highly confident" of reaching its 2026 overseas sales target of 1.5 million vehicles or even higher, as rising oil prices are pushing consumers into the arms of EV makers.** 4

BYD now trades at a P/BV ratio of 4.0x. Its H-shares now carry an implied dividend yield of 1.4%. 5

All the three companies are heavyweighted by **the CSI 300 Consumer Discretionary Index** (000911.SS), a sub-index of the broad-based **CSI 300 Index.** *As the end of March 2025, Midea had a weighting of 24.1% in the index; BYD had a weighting of 17.2%; and Fuyao had a weighting of 6.0%.* 6

Both Midea and Fuyao are already included in the **13D Deep Value & High Dividend Yield Index**. And all the three companies are included in the **13D China Index.** 7

5 8 "We urgently need something to lead us out of the shallows back into the depths, out of the two-dimensional world of the abstract and theoretical, into the full-bloodedness of embodied life." How did we lose touch? 9

Iain McGilchrist has dedicated his work to understanding the discrepancy between the left and right hemispheres of the brain, and *the kinds of worlds that emerge when their relationship becomes imbalanced*. His claim is not merely neurological, but civilizational: **the crisis we face reflects a deeper shift in how we attend to reality**. 10

This piece marks the beginning of a four-part series examining that shift. Here, we begin with diagnosis: how did we lose reality? In the pieces that follow in 11

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coming weeks, we will turn to the divided mind and the relationship between *mythos* and *logos*, the rise of power without wisdom, the externalization of left-hemisphere modes of thought into systems, and finally the possibility of returning to depth and recovering meaning. **This is not simply cultural decline. It reflects a more fundamental transformation in how we encounter the world.** 3

McGilchrist begins with a deceptively simple observation: human beings learn through experience which comes with maturation. **Unlike machines, we age, we witness change, and we remember how things can be otherwise.** As he writes: 4

> *You see more, not of course because of any innately superior faculty, but for no better reason than that you have lived through many changes and remember how things can be different, for better or worse, in a way which is hard to understand unless you experienced it.* 5

Experience, in this sense, is not incidental. It is foundational. It grounds judgment in a way that abstract knowledge cannot. Yet, we are increasingly distanced from it. Not only are opportunities for lived, embodied experience eroding, but even where experience is available, *it is often subordinated to theory*. **In the absence of experience, or in the refusal to trust it, we turn instead to abstraction as our guide.** This inversion lies at the core of McGilchrist's concern: a world in which theory begins to replace life. 6

This tension is not new. In the *Meno*, Plato presents the thought experiment known as the road to Larissa, which **asks whether experience or theoretical knowledge is the better guide to action**. The contrast is clear: one may know the route to Larissa through repeated travel *or* possess a correct account of it through reasoning. Both may arrive, but only one has *lived* the path. **What is new is the extent to which we now favor the latter.** 7

We are raising a generation for whom experience itself can be substituted. **It is increasingly sufficient to know about something without ever undergoing it.** One can understand heartbreak as a concept, simulate it through virtual systems, or model its emotional contours without ever having risked attachment or loss. 8

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But this substitution is not neutral. To know that heartbreak is painful is not the same as having one's world reorganized by it. The latter is not information, it is transformation. It unfolds in time: in the first spark of connection, the slow accumulation of trust, the quiet weaving together of two lives, and then, just as gradually—or all at once—the rupture. **It is the disorientation of absence, the strange persistence of memory, the way a song, a street, a passing scent can reopen what one believed had closed.** 3

No simulation can reproduce this. It cannot replicate the investment of self, the vulnerability of exposure, or the irreversible passage through joy into loss. These are not variables to be modeled, but experiences that reconstitute the person who undergoes them. **This is why developmental psychologists emphasize that learning is not merely intellectual.** A child does not simply acquire knowledge but develops through embodied interaction with the world through movement, resistance, and failure. **Abstract reasoning and higher-order cognition are not prior to this process but emerge from it.** 4

McGilchrist connects this erosion of experience to a broader cultural shift. Citing Walter Benjamin, he writes: 5

> *The art of storytelling is coming to an end.* ***It is as if something that seemed inalienable to us, the securest among our possessions, were taken from us: the ability to exchange experiences.*** *One reason for this phenomenon is obvious: experience has fallen in value. And it looks as if it is continuing to fall into bottomlessness.* 6

The contemporary obsession with "storytelling" only confirms this diagnosis. Across industries, companies now compete to hire "storytellers," as if the capacity to give meaningful form to experience were a scarce technical skill (See *WILTW* February 26, 2026). But that is precisely the point. **What was once a shared human inheritance has become something to be outsourced.** The ability to tell stories, draw from lived experience, render it intelligible, and pass it on no longer resides within a culture, but **must be artificially reintroduced into it**. That we must now hire storytellers is itself evidence that we have forgotten how to tell stories. Author Joan Didion said it best: **"We tell ourselves stories in order to live."** The human mind *needs* to create narratives to extract meaning and make sense of chaos, suffering, joy, gratitude, and so on. 7

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This is what Benjamin saw with such clarity about a century ago: as experience diminishes, so too does the ability to communicate it. **What disappears is not simply a form of expression, but a mode of truth.** This is why McGilchrist can insist that **"the art of storytelling is vital to truth."** And why its loss leaves us not only less connected, but less able to recognize truth when it appears. 3

For much of human history, myths were not regarded as falsehoods, but as vessels of insight. We have written at length on the importance of fables and myths, not merely for teaching children, but for highlighting what makes us uniquely human (See *WILTW* July 13, 2023, May 29, 2025, June 5, 2025). Myths carried patterns of meaning that could not be reduced to conceptual language. As McGilchrist writes: "myths embody wisdom that cannot be conveyed in the vapid language of concepts." 4

What emerges, then, is not simply a culture that has changed its habits, but one that has altered its way of seeing. We have not just accumulated new tools or new technologies; we have come to inhabit a different world that is increasingly mediated by abstraction, detached from experience, and flattened into what can be modeled, predicted, and controlled. 5

This is why the problem cannot be reduced to any single domain. It is not only that our technologies simulate experience, or that our institutions privilege theory over practice, or that storytelling has been hollowed out. **It is that the very faculty by which we recognize reality— by which we encounter depth, context, and meaning —has been displaced.** To lose touch with reality, in this sense, is not to step outside of it, but to begin mistaking its representations for the thing itself. **We have not lost reality all at once, but learned, slowly, to look past it. What remains is to recover the depth we no longer know how to see.** 6

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6 An electromagnetic pulse attack is one of America's greatest vulnerabilities in infrastructure warfare and could be catastrophic if combined with other asymmetric weapons. What are the implications? *How to invest.* 3

Nearly two decades ago, we explored the potential impact that an electromagnetic pulse (EMP) weapon could have on Western economies (see *WILTW* August 7, 2008, and other reports). Although the risk of a nuclear-based EMP attack is low, it is an existential, high-consequence danger. *Of all the possible types of asymmetric attacks, this is the one that scares us the most.* 4

Non-nuclear-based EMP weapons can inflict localized and regionalized devastation of strategic targets, especially when combined with other asymmetric weapons, whether cyber or biological-based (i.e., a compound attack). **The risk of an asymmetric attack by Iran or its proxies (or one that is blamed on Iran) on the U.S. homeland grows more likely as the West-Asia conflict persists** (see section 1)**.** If the U.S. elects to detonate tactical nuclear or EMP devices in Iran, America would likely quickly become a target for asymmetric attacks. Progress has been made in hardening America's infrastructure, but significant vulnerabilities remain across critical networks. 5

The threat of an EMP attack has hovered on the margins of U.S. defense debate for two decades, mostly as a theoretical worst-case. However, the West-Asia conflict has given the underlying logic of EMPs new urgency—*not because a high-altitude nuclear detonation is imminent, but because infrastructure warfare is now an active feature of the battlespace.* 6

Consider the following: 7

- **An EMP attack can affect every electrical and networked system simultaneously.** A nuclear-based EMP attack occurs when a nuclear warhead detonates above Earth's atmosphere at an altitude between 40 and 400 kilometers. This explosion wouldn't cause fallout, so there's no direct 8

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physiological danger to humans. **However, it would emit gamma rays that create Compton electrons, which move nearly at the speed of light along the line of sight, damaging electrical and electronic systems.** A weapon detonated at an altitude of 300 miles above Chicago would send an electromagnetic wave covering the entire country. It would also destroy a substantial amount of the satellite infrastructure on which America is highly dependent. *The 1962 Starfish Prime test at 400 kilometers caused electrical failures in Hawaii approximately 1,400 kilometers away.* 3

The true magnitude of the EMP threat extends beyond immediate destruction to the cascading consequences that follow. The electric grid serves as the foundation for nearly all other systems—water distribution, fuel supply, transportation, communications, healthcare, and food logistics—and when it fails, these systems begin to break down in rapid succession. *Because modern cities rely on just-in-time supply chains and maintain only a few days' worth of essential resources, even a short-term disruption can escalate into widespread shortages.* 4

If outages last weeks, months, or even years, the inability to restore power—partly due to long replacement times for critical grid parts—could cause major societal disruption. In this scenario, the country's interconnected, tech-dependent infrastructure becomes vulnerable, as power outages halt the mechanisms sustaining daily life, risking large-scale humanitarian consequences. *In a nutshell, America's infrastructure could theoretically resemble that of the 1830s, which supported a population of about 30 million.* 5

- **The risk of a localized or regional non-nuclear EMP attack carries higher plausibility for tactical or facility-level strikes.** Non-nuclear EMP includes high-power microwave (HPM) weapons, intentional electromagnetic-interference (IEMI) devices, and specialized bombs that can couple energy into electronics without a nuclear blast. *A cluster of critical assets or infrastructure, including substations, data centers, and industrial control rooms, can be paralyzed.* 6

Major militaries have demonstrated and fielded non-nuclear-based EMP weapons specifically to disable electronics over localized areas. *Non-state actors and terrorists could also potentially obtain or assemble IEMI devices with state support or access to specialized components.* 7

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Iran is believed to have the scientific and industrial knowledge base to pursue non-nuclear EMP weapons, regardless of whether related facilities were damaged in the current conflict. A 2025 West Asia News Agency-linked analysis cited an Islamic Revolutionary Guard Corps (IRGC) associated general claiming Iran already had "electromagnetic (EMP) missiles" capable of disabling electronics out to roughly 200 km. A 2025 SpecialEurasia analysis also described how Iran's new "Rastakhiz" missile is integrating nuclear and EMP-strike capabilities, framing EMP as part of Iran's deterrent posture. 3

- **The U.S. government has several initiatives to mitigate risks, but progress remains insufficient.** The U.S. is hardening infrastructure against asymmetric EMP attacks and large solar flares, which can produce similar effects. Initiatives to modernize and harden grid infrastructure from multiple threats, including EMPs, total over $10 billion in funding. These initiatives include the 2019 presidential-executive order on EMP resilience, energy-sector strategies led by the Department of Energy, and ongoing defense and infrastructure-hardening programs across the Pentagon, Department of Homeland Security, and utilities. 4

However, huge gaps remain in coverage, standards, funding, and restoration capacity across the civilian grid and other critical sectors. *Large power transformers are a key vulnerability.* **Loss of numerous transformers in a large-scale attack could disable the grid for years.** Large power transformers are also difficult to shield, and many substations still use control houses, cables, and grounding schemes that are not designed to withstand EMPs. This exposes digital protective relays, industrial-control systems, and communications cables to induced surges. 5

- **The most immediate, and potentially greatest homeland risk from the West-Asia conflict is a prolonged, multifaceted strategy combining traditional terrorist violence with unconventional methods.** In the near term, the pathway from regional conflict to U.S. homeland impact is far more likely to take the form of **coordinated hybrid interference** rather than a single, nuclear-based EMP attack. For instance, combining a non-nuclear EMP weapon with an advanced cyberattack or physical attack on a strategic asset would amplify the effects (see *WILTW* April 12, 2018). 6

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A persistent, multi-vector disruption is a key risk. Outcomes would include degraded infrastructure reliability, public uncertainty, and strained response systems. *In this context, hybrid operations represent the most credible and immediate mechanism through which a regional conflict could generate tangible consequences inside the United States.* 3

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The 13D Grid Infrastructure Index and the 13D Defense Index are poised to benefit as the U.S. and other Western nations continue to harden infrastructure against asymmetric attacks, including EMPs. The Grid Infrastructure Index comprises leading companies that manufacture transformers, switchgear, surge arresters, and substation automation (see components here). *These companies sit at the intersection of EMP preparedness, storm hardening, wildfire mitigation, and electrification demand.* 5

The 13D Defense Index offers comprehensive exposure to leading defense contractors and cybersecurity leaders (see components here). Major U.S. defense primes, including Lockheed, Northrop, RTX, and BAE, offer EMP-hardened systems and infrastructure solutions, including EMP-shielded facilities and protection layers for critical infrastructure. 6

Additional portfolio candidates include: 7

8

- **Eaton** (ETN, $385.58, see *WILTW* reports) manufactures several categories of grid equipment that the EMP Commission identified as critical to national recovery after a large-scale EMP event. These include transformers, switchgear, reclosers, surge arresters, protective relays, and substation-automation systems. Eaton offers a single position that captures EMP preparedness, climate adaptation, and electrification growth simultaneously.

- **GE Vernova** (GEV, $936.07, see *WILTW* reports) offers more concentrated exposure to the power-infrastructure buildout. Its Electrification segment, which includes the grid-solutions business, delivered $9.6 billion in revenue last year. *This reflects GEV's growing-order backlog for switchgear, transformers, and AC substation equipment.*

- **Generac** (GNRC, $202.93) manufactures backup power and distributed-energy resilience, which form the second tier of products needed in the event of an EMP attack and an extended grid outage. The EMP Commission

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warned that most critical facilities carry only hours to a few days of backup power, and Generac's core products, including standby generators, battery storage, and microgrid controllers, address that gap. 3

- **Hubbell** (HUBB, $527.21) is the most focused utility-equipment play in this group. Roughly 63% of Hubbell's consolidated revenue comes from its Utility-Solutions segment, which spans transmission and distribution hardware, substation equipment, smart meters, and advanced metering infrastructure. Hubbell reported a record backlog of $2.2 billion in 2025. 4

7 Two landmark cases aligned social media companies with Big Tobacco—and won. What are the implications? 5

In Los Angeles last month, a jury decided in favor of a plaintiff who had claimed that Meta and YouTube hooked her with its addictive products, leading to anxiety and depression. *The verdict validated a novel legal theory that social media sites or apps can cause personal injury, similar to cigarettes and opioids. It came straight from the playbook used against Big Tobacco last century.* 6

A day earlier, in New Mexico, a jury found Meta liable for violating state law by failing to protect users from child predators—another novel strategy invoking the state's consumer-protection laws. 7

In both cases, social media lost. In the first case, Meta and YouTube combined have to pay $6 million to the plaintiff, a twenty year old woman known as K.M.G. In the New Mexico case, Meta has been ordered to pay $375 million in punitive damages. 8

The fines themselves mean nothing. But **the decisions are bellwether moments—a fork in the road for social media that carries implications for other future technologies** (see *WILTW* April 28, 2025). 9

For one, the backlash against social media and the push to make the internet safer for kids may finally be gaining legal traction. It's a case we made three years ago, when we argued that **framing Big-Tech accountability through the** 10

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lens of children and families may prove the rare policy weapon that hits people on an emotional level (see *WILTW* January 12, 2023 and April 3, 2025). 3

It certainly hit these two juries, nevermind the growing cohort of grassroots initiatives led by parents and communities to loosen technology's grip on their kids. **Will lawmakers follow suit?** 4

In the wake of the verdicts, Senators Marsha Blackburn, Republican of Tennessee, and Richard Blumenthal, Democrat of Connecticut, called for legislators to pass their bill, the Kids Online Safety Act (KOSA), which stalled out in the House last year. If passed, **federal momentum would build on laws in more than 30 states banning phones in schools.** 5

The momentum has worldwide reach. In the wake of Australia's passage in December of a social-media ban for those aged 16 and under, **six more democracies are expected to pass similar bans this year**, including Spain, Norway, France, Malaysia and Indonesia. 6

Secondly, assuming they survive the appeals process, **these cases will open the floodgates for others to sue social-media companies using the same winning strategy: their products were built with dangerously-habit forming features that have led to an array of serious health problems.** Similar individual cases have already been filed around the country, and a massive federal case with more than 2,000 plaintiffs is expected to proceed this summer. Meta and other social-media companies are facing so much pending litigation that keeping track of it all is nearly impossible. 7

The third reason these cases matter is that they have **revealed a crack in Section 230 of the Communications Decency Act,** which for thirty years has been the foundation the entire internet rests on. 8

Section 230 is the law that says these platforms cannot be held liable for their content, or what their users post. Now, with these two cases, juries are saying that **it's not the content that's the problem. It's the entire architecture of the platforms themselves.** 9

Technologist and podcaster Casey Newton puts it this way: 10

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> *This is not about, oh, "I got harmed by this particular piece of content." **This is about the design of the whole platform. The design feels defective**. And the really crazy thing about these cases is that juries agreed with these plaintiffs for the first time. They said, "we like this theory. We think these products are defective." A few years ago, we weren't using this language. It was just kind of this more nebulous effect of Instagram on teen girls. **Now, we're adopting this public health framing as a way to discuss the harms of social media. We finally have the right framing.***

3

One legal scholar called the L.A. case in particular **a "brick in the wall" that's been shielding Big Tech.** 4

We quote Catherine M. Sharkey, a professor of law at New York University and an expert on tort and product liability: 5

> *The implications of the court decisions [last month] are very, very big. We're in a new era, a digital era, where we have to rethink definitions for products based on which entities might have superior information to prevent these injuries and accidents.* 6

In the L.A. case, **the design features at issue were the filters that can make you look "more beautiful,"** along with infinite scroll, autoplay video, the constant barrage of push notifications, and the recommendation-algorithms that power the platform. **The prosecution's central argument was that social media can have consequences as real as those of physical goods,** and we should think about it in the same terms. Mark Lanier, a member of K.G.M.'s legal team, described social-media companies as **"lions hunting gazelles,"** and compared their products to cigarettes, opioids, and ultra-processed foods. But **it was K.G.M.'s own account of her experiences that appeared to move members of the jury, some of whom reportedly cried during her testimony.** 7

The New Mexico case was really about child safety. The lawyers were arguing that Instagram in particular has become a playground for predators, especially via their end-to-end encrypted messaging. The thrust of the argument was that **Meta has been falsely advertising that these platforms are safe when, in reality, children are being harmed there all the time.** 8

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New Mexico Attorney General Raúl Torrez issued a statement to reporters, writing, "New Mexico is proud to be the first state to hold Meta accountable in court for misleading parents, enabling child exploitation, and harming kids." 3

The verdicts pose existential questions for social media companies, AI, and the future of the internet itself. One of the big debates that's raging in the internet-policy community right now is, **can you separate content from design?** Some argue that designing a push notification is protected under the First Amendment. But the juries in L.A. and New Mexico called foul, essentially saying that the container is just as dangerous as the stuff inside the container. 4

More juries are likely to rule the same way. **Lawsuits filed by parents are already piling up against AI chatbot companies,** alleging that their products are addictive, promote dangerous content, and have directly contributed to the suicide and severe mental-health issues among minors—in short, the same legal strategy that just proved successful against social media companies. In the case of Meta, internal documents have revealed that the platform's rules explicitly allow their chatbots to have sensual conversations with children, meaning there is hard evidence that Meta knowingly designed a defective and dangerous product. 5

The L.A. case also raised the issue of monopoly power, with the lawyers arguing—or at least raising the question—that in order to be truly addictive, you have to have scale. Newton summarized it this way: "There's something about the fact that there's hundreds of millions of people on Instagram creating content that [generates] that kind of infinite supply of things that you might want to watch that is actually able to addict you." 6

And in fact, this is the tack that European regulators have taken: **the bigger and richer and more powerful you are, the more responsibility you have to society.** In this particular case, Meta has unlimited resources to hire the world's best cognitive scientists to figure out how to hack users' brains with the most addictive designs possible. The very spectre of this advantage proved persuasive to jurors. 7

Newton wrote: **"The jury saw that there's no check on that kind of power right now in U.S. society, except for this litigation."** 8

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Finally, the arc of smartphones and social media may foretell the future for certain AI technologies. The research firm Gartner called it **the "hype cycle," noting: "First comes tech enthusiasm, then rapid adoption, and finally disenchantment."** 3

Social media and smartphones are at a later stage of the cycle. Classroom AI use is just gearing up. An illustrative example is Australia. **At the very moment it's implementing a social media ban for young people, it's also considering an AI-literacy plan, which focuses on embedding AI across educational systems.** If there's a warning embedded in these trials for investors, it's **how quickly tech hype can turn into a full-blown backlash.** 4

8 5 The destruction of the U.S. Air Force F-15E Strike Eagle fighter jet last week incinerated 0.05% of the global supply of the critical-mineral rhenium. The war in Iran is proving that U.S. "just-in-time" mineral and defense-technology supply chains are not fit-for-purpose. What are the implications? *How to invest.* 6

Rhenium is one of the rarest elements in the earth's crust—less than 1 part per billion—and one of the smallest metal markets worldwide. It is primarily found in Chilean porphyry-molybdenum deposits that contain 0.001% to 0.2% rhenium. Total global production is only 62 tons per year, excluding approximately 15 tons from scrap and recycling. *The total global supply could fit into two pickup trucks.* Global supply is mostly from Chile (29 tons), followed by the U.S. and Poland (9.5 tons respectively), and China and Uzbekistan (~5 tons respectively). *Rhenium is genuinely rare.* 7

Global rhenium supply is also inherently constrained given that it is only produced as a byproduct *of a byproduct*. *Like most niche, byproduct minor-* 8

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metals markets, increasing supply is tied to the economics of primary metal supply. 3 Given that rhenium does not form its own minerals and exists as a substitute within the molybdenite lattice, its recovery is entirely dependent on the multi-stage processing of copper-molybdenum concentrates, and it is often lost to waste streams or flue gases. The process of extracting rhenium from copper-molybdenum ores is a complex metallurgical challenge, making supply highly inelastic. *The rhenium market is difficult to scale.*

Rhenium has recently been classified as a critical mineral by the U.S. Geological Survey (USGS). 4 *Its inclusion signals that U.S. policymakers view it as strategically important to economic and national security, and prone to supply-chain disruption.* Other minerals added to the 2025 USGS list were: copper, potash, boron, lead, metallurgical coal, silicon, silver, and uranium. These minerals were added following the USGS mapping 1,200 trade-disruption scenarios across 84 commodities and ranking them by probability-weighted loss to U.S. GDP from a one-year-long supply disruption.

Rhenium is not substitutable in its main downstream market: jet-engine components. 5 *Without rhenium, there are no jet engines.* Approximately 80 percent of the global market for rhenium is for nickel super-alloy turbine-engine components—**particularly the blades for commercial- and military-jet engines.** It has exceptional stability at high temperature, limiting its substitution for performance thresholds in the hottest stages of modern engines. In aerospace, even a small amount of rhenium can materially improve creep resistance and oxidation control, helping engines run hotter and more efficiently. Typical rhenium concentration in nickel-based superalloys is between 3-6%.

Beyond jet engines, approximately 15% of global rhenium demand is for platinum-rhenium catalysts for petroleum reforming. 6 Rhenium demand in 2025 was boosted by the U.S. administration's pro-oil stance and cuts to renewable-energy tax-credits. Rhenium-based alloys are also increasingly used as alternatives in medical implants.

Ultimately, the global-rhenium supply chain is yet another clear example that the "just-in-time" defense-procurement supply chain is no longer fit for purpose. 7 *The unvarnished truth is that Western-defense procurement relies on small, unscalable, and highly-concentrated metals markets.*

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Consider the following: 3

- **The U.S. Air Force F-15E Strike Eagle fighter jet shot down over Iran on Friday last week contained approximately 0.032 tons of rhenium—0.05% of total annual global supply.** The F-15E's Pratt & Whitney F100-series engines, particularly the advanced 229 variant used in F-15 Eagle jets, use significant quantities of rhenium in their high-pressure turbine sections. These high-pressure turbine (HPT) blades are manufactured from the single-crystal superalloy PW1484, which typically contains approximately 3% rhenium to enhance thermal stability and creep resistance. Exact individual blade masses are proprietary to the company, although industry benchmarks for F100-series engines indicate a total rhenium loading of approximately 16.30 kg per engine, which equates to 32.60 kg for a twin-engine F-15 aircraft. 4

- **Defense aviation is manifestly the leading sector vulnerable to rhenium supply-chain disruption.** Commercial aviation is equally vulnerable. *Boeing has forecast demand of nearly 44,000 new airplanes over the next 20 years.* This increase in engine production will force significant downward pressure on the rhenium supply chain, potentially leading to shortages. Where supply cannot meet demand, commercial engine makers will face longer lead times and higher inventory costs. *In Western-defense-aviation supply chains, this creates significant consequences for fleet availability and defense readiness.*

- **Rhenium is the classic bottleneck minor-metal market.** However, unlike many other minor-metals markets we have written about, global rhenium supply is not highly concentrated in China; nor is it particularly vulnerable to potential Chinese-trade disruptions. *Global supply is only threatened if a copper mine, concentrator or smelter is disrupted.*

- **Despite this, rhenium supply is still poised to become a key geopolitical-mineral battleground of the future.** *Today, China is the largest global importer of rhenium.* Despite current volatile jet-fuel prices, commercial aviation demand in China is entering a significant structural-growth phase. *China ramped up demand in 2025, forcing upward pressure on rhenium prices over the year.*

- **One of the few areas the U.S. has leveraged in its ongoing trade negotiations with China is its jet-engine exports.** Last year, the

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Commercial Aircraft Corporation of China, Ltd. (COMAC), the largest state-owned-aircraft manufacturer in China, *drastically revised the short-term delivery outlook of its flagship C919 aircraft due to the U.S. export ban of key engine parts.* The Aviation Industry Corporation of China (AVIC), China's state-owned aerospace and defense conglomerate and the primary manufacturer of China's domestic-military aircraft, is also a key supplier of parts for COMAC. *China's three-largest commercial airlines are also majority state-owned.* 3

- **The rhenium narrative symbolizes a wider breakdown in modern Western-defense-procurement supply chains.** As we are witnessing in the Middle East, modern conflict is punishing these slow, outdated supply chains. Modern warfare is increasingly shaped by inexpensive drones and low-cost, high-return operations capable of inflicting significant equipment losses. In the first week of the war in Iran, a single Iranian drone (costing approximately $30,000) damaged an AN/FPS-132 phased-array early warning radar in Qatar. *The AN/FPF-132 took eight years to build and cost $1.1 billion.* The "just-in-time" procurement paradigm, whether for mining the upstream critical minerals themselves, or for the finished components supplied by sub-tier manufacturers, is clearly no longer effectively serving this *kind* of warfare (see *WILTW* report). 4

- **Long-term strategic planning could address some of these endemic supply-chain vulnerabilities.** However, the Trump administration's downgrading of long-term strategic institutions—such as abolishing the Department of War's Office of Net Assessment (ONA), cutting 50% of Office of Director of National Intelligence (ODNI) staffing, defunding the State Department's Global Engagement Center, and closing nearly 30 U.S. consulates—signals the beginnings of an erosion of U.S.-strategic foresight that will in time undermine the development of critical national industries and their supply chains.

- **Rhenium is therefore more than a niche industrial input: it is part of the resilience of an entire system.** *Rhenium is a single-point-of-failure in a wider matrix of other single-points-of-failure.* The real cost of the Iran war is therefore not in dollars, or even materiel, but the weeks or months it will take to repair and replace U.S.-defense supplies. *Time is the real cost.* Building institutional capacity on this scale—repairing and restructuring the supply chain to meet the new demands of modern warfare and address the specific strategic-material chokepoints—will take the U.S. years it likely doesn't have.

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The 13D Critical Minerals Index provides broad exposure to the critical-minerals theme across the value chain in Asia, North America, and Australia. **Since its launch on February 27, 2025, the index has returned 313.3%** relative to 12.7% on the S&P 500 and 15.6% on the MSCI World Index. Mining companies producing rhenium today include **Freeport-McMoRan** (FCX), Chile's state-owned **Codelco**, **KGHM Plska Miedź** (KGHM GR), **Milibdeno y Metales** (MOLYMET CI), and **Anglo American** (AAL LN). 4

9 Electrotech—solar, wind, batteries, electric vehicles, and heat pumps—offer an affordable escape from the volatile world of fossil energy. 5

The war in Iran has triggered the second energy crisis in four years and may be the most significant shock to the global economy since the GFC. Over 40 major energy infrastructure assets have been damaged so far. Even if attacks cease today, the damage is so extensive that it will take years to repair. 6

Jet fuel prices have increased by 70%, gasoline prices by 30% to 40%, and wholesale gas by at least 60%. Heating oil, which many rural households rely on, has climbed even higher. **Fossil-fuel volatility has become a clear threat to global stability**. 7

About 75% of the world's population lives in fossil-fuel-importing countries. 8

These countries spent at least $1.7 trillion in 2024 on oil and gas imports, at an average oil price of $80 per barrel. 9

For every $10-per-barrel increase in oil prices, global net import costs rise by about $160 billion a year, according to a new report by Ember, a London-based clean-energy research group. **If oil averages $110 a barrel this year, it will cost importing nations an additional $480 billion, compared to 2024**. 10

Before the war, most forecasts had projected oil prices of $60 to $65 a barrel for 2026. 11

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LNG importers face a similar challenge. **For every $1-per-million-British-thermal-units (MMBtu) increase in LNG prices, global net import costs rise by about $20 billion per year.** Goldman Sachs forecasts a $12 to $14 MMBtu price increase for European and Asian gas imports through Q2. 3

For importers of oil and gas, the fastest and most affordable way to protect themselves from the price and supply volatility of oil and gas imports is with electrotech—solar and wind power generation, battery storage, electric vehicles, and heat pumps, as we have previously noted. (See reports.) 4

Electrotech technologies could replace up to 70% of current fossil fuel imports, according to the Ember report. 5

Fortunately, electrotech alternatives have become cheaper, better, and more readily available since the 2022 energy crisis. 6

For example, **since 2022, the cost of solar panels has dropped by half, and annual solar installations have nearly tripled. Battery prices decreased by 36%, and yearly deployment of grid batteries increased sevenfold.** 7

Unlike fossil fuels, wind and solar energy resources are abundant and accessible everywhere. **The sun and wind are not affected by geopolitics, tariffs, shipping delays, chokepoints, price volatility, currency fluctuations, or conflicts**. 8

Although intermittent, solar and wind power have a significant efficiency advantage since 60% to 65% of energy produced by fossil fuels is lost as waste heat. 9

The capital costs of building solar and wind installations are now similar to those of a new gas-power plant with comparable power output. 10

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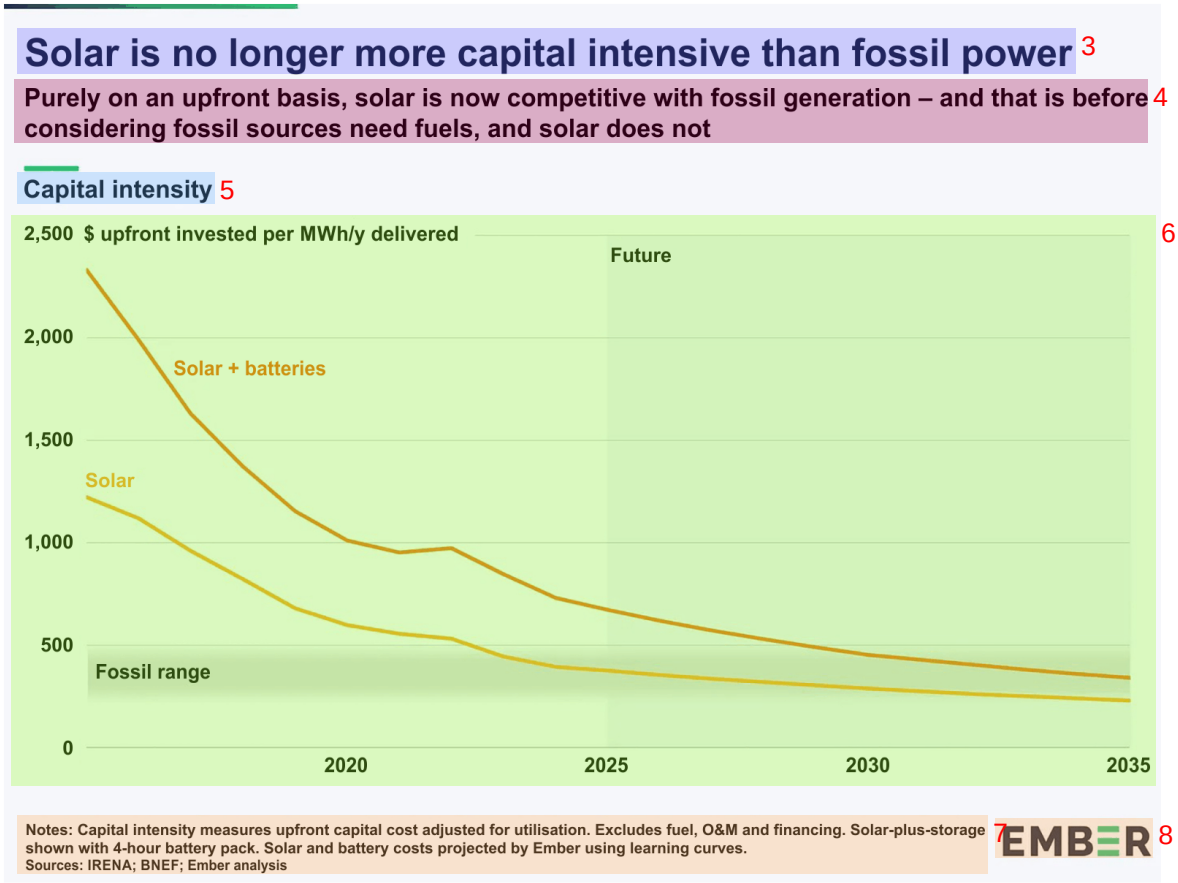

Source: Ember 9

China's solar panels have become the cheapest source of electricity in history, with a panel costing the same as a sheet of plywood, as we have noted. A solar panel or wind turbine can generate electricity for 3 decades with no fuel costs, no price increases, and no supply risk. (See *WILTW* January 8, 2026.) 10

That's why the world installed a record 814 gigawatts (GW) of new solar and wind capacity in 2025, 17% more than in 2024 (696 GW). That's roughly double South America's total power-generation capacity from all sources. 11

The addition of 814 GW of solar and wind last year was enough to displace 15% of global gas generation, and reduce annual gas import costs by roughly $138 billion at current market prices, according to a new report by Ember. 12

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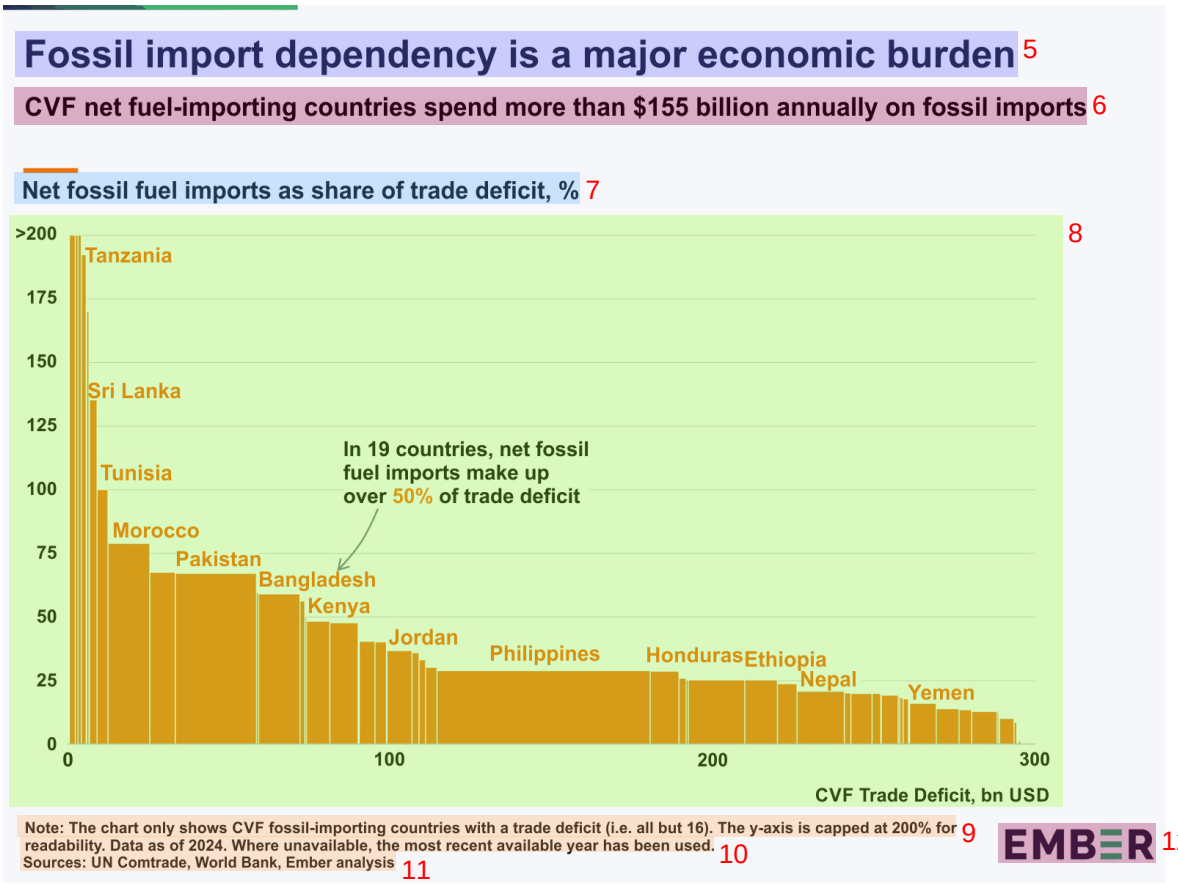
The lowest-income countries have been among the most eager to reduce their oil and gas imports with electrotech. 3

For example, **a group of 74 low-income countries spent $155 billion on net fossil fuel imports in 2024—a significant annual drain on public finances and foreign exchange reserves.** Those import costs may increase by 40% or more this year. Countries will likely be forced to moderate domestic-fuel price increases through bigger fuel subsidies, pushing budgets further into deficit. 4



Source: Ember 13

Roughly half of these countries already have a higher share of solar energy than the U.S. and higher rates of electrification. **Many of these countries, such as Pakistan, have at least 3 times the volume of solar imports, mostly for rooftop solar, than their official data shows,** according to another new report from Ember. 14

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We quote Sara Jane Ahmed, Managing Director and Finance Advisor of the 74-nation coalition: 3

> *The old trade-off between climate and development is over. Vulnerable countries are leading a rapid clean energy shift, leapfrogging fossil fuels and even richer nations.* 4

For example, **Cuba, currently under an oil embargo by the U.S., increased its solar capacity by 350% since 2024, thanks to low-cost Chinese solar panels.** Solar and other renewables may provide 15% of Cuba's power this year, a vital lifeline for a country experiencing widespread blackouts due to the embargo. Cuba plans to nearly double solar capacity by 2028. 5

Asian countries with coal reserves will replace some gas imports with coal. However, it is likely to be a short-term substitution. **Low-cost solar panels and today's much lower-cost batteries are price-competitive with existing coal in many markets**. Moreover, many countries, including Thailand, the Philippines, South Korea, and India, have removed many permitting requirements to speed the installation of renewables. 6

For example, **solar and batteries can already meet 90% of India's electricity demand at a price competitive with existing coal**, according to a new report. Equally important, solar and batteries can provide that power without the billions of dollars in health impacts, lost productivity, and crop losses from coal's air pollution. 7

Over 500 million people still lack access to electricity. Another 500 million face unreliable supply. Low-cost, off-grid solar and electrification can finally bring reliable modern energy to these people. **Fossil energy is no longer essential to economic development,** the Ember report concludes. 8

Electric 2- and 3-wheel vehicles, along with electric cars and trucks, cut oil consumption by 2.3 million barrels per day last year. That will jump to 5.25 billion bbl/day in 2030, according to BloombergNEF's analysis. 9

Electric vehicles have become the preferred new vehicle to buy in more and more countries, as we recently noted. (See *WILTW* February 5, 2026.) **Electric cars and trucks made up over 10% of new sales in 39 countries in 2025.** 10

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China reached over 50% of new sales, Vietnam 38%, Uruguay 27%, the EU 26%, Thailand 21%, and Indonesia 15%. 3

Thanks to its fleet of EVs, China saves over $28 billion a year in avoided oil imports with an oil price of $80 a barrel. The EU saves $8 billion a year. 4

The rise in EV sales is mainly due to increased cost competitiveness. **An EV is also cheaper to operate, saving up to $2,200 a year in fuel costs,** according to a 2024 analysis by the U.S. Department of Transportation. 5

And all this is before the war in Iran. 6

With U.S. gasoline prices 30% to 40% higher, even EV-shy Americans are giving EVs another look. 7

U.S. used-EV sales increased 12% in Q1 compared to last year. Meanwhile, new EV sales dropped 28% due to higher-priced models and the Trump Administration's discontinuation of the $7,500 tax credit. 8

However, in much of the world, EV sales are soaring amid higher gasoline and diesel prices. **In Q1, India's EV sales jumped 24.6%, Europe was up 31%, and the UK was up 24.2%**. South Korea saw a 172% increase in February thanks to a revised subsidy program. **In March, Germany's EV sales jumped 66% year-on-year, while Australia saw a huge 89% increase**. 9

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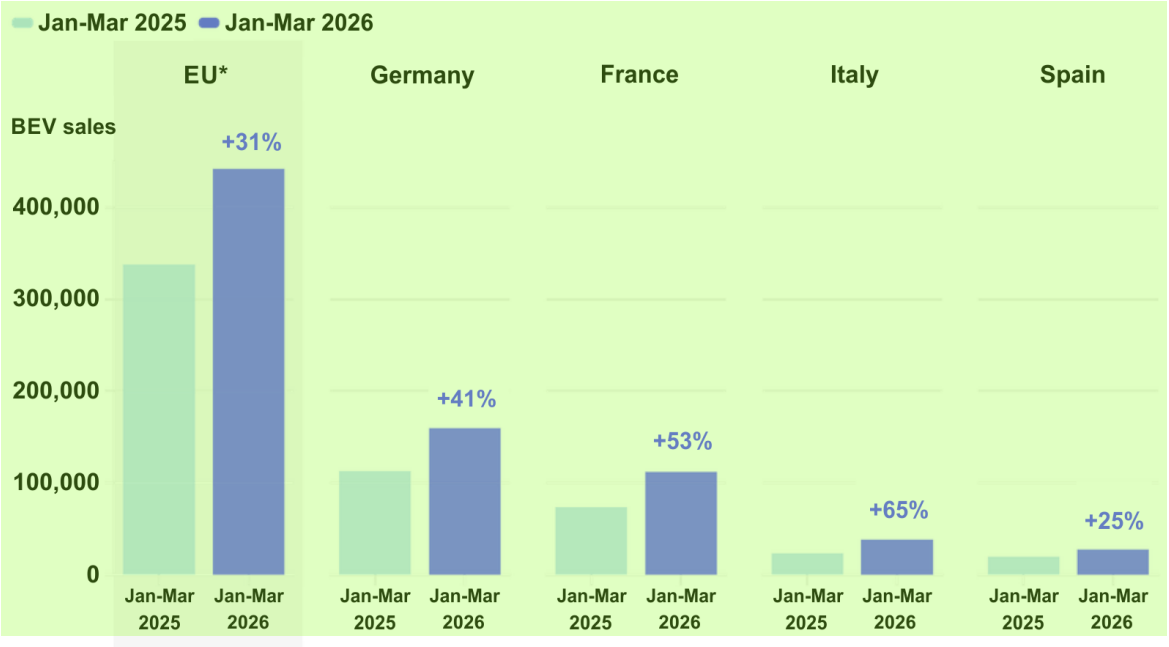
Electric car sales rose 31% across the EU in the first three months of 2026 3



4

Source: ACAP, ANFAC, BOVAG, CCFA, DIV, FEBIAC, KBA, UNRAE • *EU results based on EV sales in Belgium, France, Germany, Italy, Netherlands, Portugal, Spain and Sweden 5 T&E 6

Source: T & E (Transport & Energy) 7

We quote Fatih Birol, Executive Director of the International Energy Agency, in *the FT*: 8

> *I expect a big push for electric cars, both for new and second-hand electric cars, including in Asia, which is the main driver of global oil demand growth.* 9

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10 3 The U.S. is actively undermining its relationships with allies. By redirecting Swiss funds without authorization, Washington is encouraging other countries to reconsider their commercial and financial relationships. The implications for global capital are immense. 4

According to Werner Salzmann, a senator from the country's largest party, the Swiss People's Party: **"It's frustrating when we impose a payment freeze and the money is simply redirected…The [U.S. government's Foreign Military Sales (FMS) Program] contracts are producing more and more interpretation problems. We need to think carefully about whether we want to keep signing such agreements."** 5

A few days ago, Switzerland announced that it had in fact halted payments last autumn for the U.S. Patriot missile system given long delays. **However, without asking for permission, the U.S. circumvented this payment freeze by redirecting Swiss funds earmarked for the F-35 fighter jet to the Patriot system.** 6

Switzerland was meant to receive the Patriot system between this year and 2028 but **more pressing needs in Ukraine delayed this by five years.** *Due to the war in the Middle East, delivery could be delayed even further and the cost to Switzerland for procuring this system may rise by at least 50%.* 7

Recently, Poland reportedly turned down a request by the U.S. to send its Patriots to the Middle East. 8

According to the Minister of Defence Martin Pfister: "We've informed them [the Swiss Federal Council] about this [Patriot termination] option today and we're also making this option public today…We are still assuming today that we will receive these systems; we don't know when, and **we are currently in the process of negotiating all possible options with the U.S.…This also includes a complete termination."** 9

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Switzerland's Department of Defence, Civil Protection and Sport (DDPS) said that **the U.S.'s "reprioritization" of deliveries "significantly alters the contractual basis" of the acquisition.** The nation's Federal Council also added that these changes in U.S. priorities have "profoundly altered the contractual basis." 3

In March, Switzerland decided to reduce its F-35 order by six aircraft, after a contract dispute over price increases with the U.S. government. 4

According to the Swiss government, as a result of the U.S. redirecting funds, if the liquidity of the U.S.'s Swiss FMS fund falls below a **"critical threshold, projects can be suspended and, if it falls further, terminated…This could affect not only the Patriot procurement but the entire Swiss Foreign Military Sales (FMS) portfolio with the USA."** 5

Just recently Swiss government released a statement: "The export of war materiel to countries involved in the international armed conflict with Iran cannot be authorised for the duration of the conflict." Furthermore, a number of European counties have blocked airspace to the U.S. military. 6

The ideological rift between the U.S. and Europe continues to widen. 7

In a sharp rebuke of Trump's actions, the European Council President António Cost says: "Any targeting of civilian infrastructure, namely energy facilities, is illegal and unacceptable." 8

In an interview with the *Telegraph* last week, Trump said that he is seriously **considering pulling the U.S. out of NATO, with the matter "beyond reconsideration."** 9

The far-right in Europe is also sharply rebuking Trump. The red line for them was the threat to invade Greenland. (See *WILTW* January 22, 2026.) 10

As Sudha David-Wilp, a vice president of the German Marshall Fund policy institute, told *Washington Post*: "For them, sovereignty and national borders are very important. And, so **for the United States to say it can just come in and change ownership of territory, that to them is probably anathema and undermines their whole view on the international system."** 11

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In an interview with *France Inter* radio, Marine Le Pen of the National Rally party, the most popular party in France, pointed to the "catastrophic consequence" of the war in Iran, calling it a "mistake" and criticised Trump's "erratic war goals." Speaking to *Le Parisien* she said: "Donald Trump clearly did not fully appreciate the impact of his intervention [in Iran]. In fact, it is becoming apparent that very little preparation was done…We therefore feel that these strikes were carried out blindly." 3

Germany's most popular party, the AfD party, has asked its MPs to scale back visits to the U.S. for the purposes of building ties with the MAGA movement. According to a party official: "Even before the war it was sub-optimal…The AfD wants to keep contact more targeted and will no longer send large groups." 4

Alice Weidel, who alongside Tino Chrupalla, is the co-leader of the AfD, called Trump's attack on Iran "a catastrophe." 5

Chrupalla has said that it is time to remove allied troops and nuclear weapons from Germany in order to pursue an "independent" foreign policy. 6

At the start of the year, we noted that in just the past three years, **European investors increased their holdings of U.S. assets by 91%, equivalent to $4.9 trillion. Furthermore, half of the $10.4 trillion in U.S. stocks held by Europe is owned by the eight countries that Trump has threatened with tariffs.** (See *WILTW* January 29, 2026.) 7

In context of all of the above, it begs the question, how long can capital keep flowing from Europe to the U.S.? Is a reversal in the cards? 8

In February of this year, before the disruption caused by war in the Middle East, European equity markets experienced their largest ever recorded monthly inflow of capital. 9

As Jean Monnet, the Founding Father of the EU, said: "Europe will be forged in crises, and will be the sum of the solutions adopted for those crises." 10

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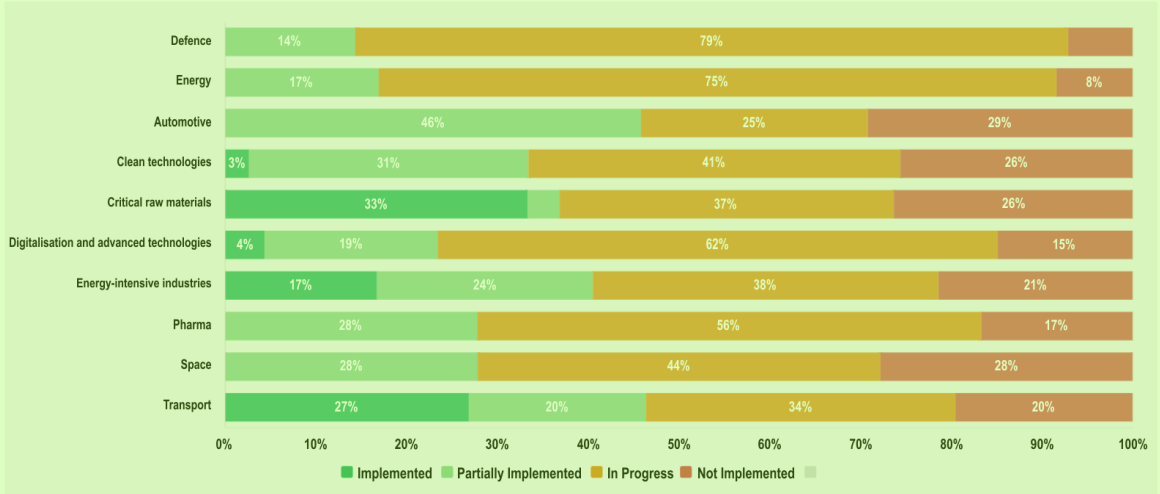
Could Europe use this crisis to rejuvenate the single market and attract capital? 3

The current crisis gives Europe added impetus to strengthen the single market and carry out reforms to make the economy more competitive. As we see in the following chart, as of the end of last year, the majority of Draghi's proposals were still in progress. 4



5

Source: Draghi Observatory & Implementation Index 6

As we wrote in *WILTW* November 20, 2025, creating a "military Schengen" and strengthening military capability is a way to revive the single market. **A consequence of this is capital being repatriated back to Europe.** (See *WILTW* January 8, 2026.) 7

Last summer, Jeff Currie wrote a paper entitled "The New Martial Plan" in which he noted the following: "Europe could spend an additional €4-5 trillion on defence over the next decade based on current goals, rising to €9 trillion if adjacent infrastructure is included, and at **the limit could approach €14 trillion if Europe matched what the US spent on average over the past 60 years and what Poland is spending now.**" 8

Europe has the fiscal space to do this. The debt-to-GDP ratio in the European Union is 82.1% and the continent is a triple-A rated entity, an increasing rarity. 9

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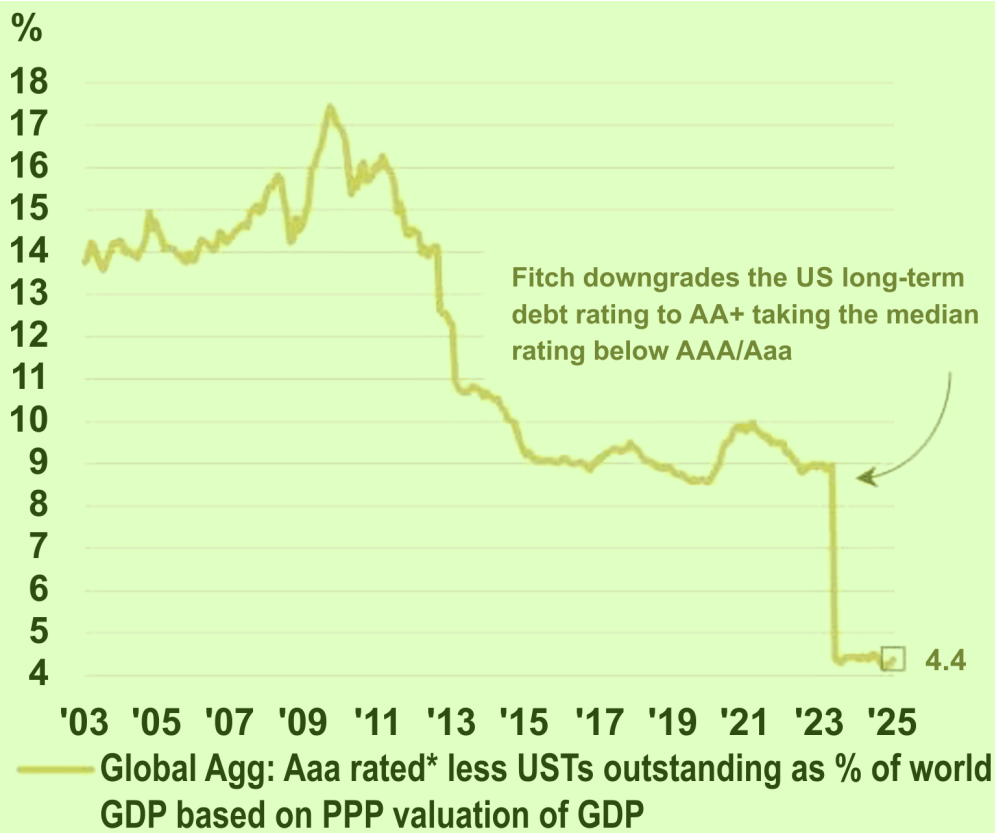

3

Source: Bloomberg, Morgan Stanley Research; *Bloomberg index inclusion based on median rating of S&P, Moody's, and Fitch ratings. 4

Source: Zerohedge 5

By strengthening its defence industry, Europe can use this opportunity to internationalise the use of the euro and attract capital. 6

Last year, during the tariff crisis, Christine Lagarde said that the ongoing changes create the opening for a "global euro moment." Furthermore, she said that increasing the international role of the euro rests upon creating a geopolitical foundation and hard power. (See *WILTW* May 29, 2025.) This is now more important than ever given the geopolitical backdrop today. 7

Furthermore, issuing pan-European bonds to strengthen the defence industry ensures a deep supply of bonds. As we wrote in *WILTW* June 19, 2025, **Europe is exploring proposals to create a deep, liquid Eurobond market as an alternative to the UST market.** 8

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11 3 **"Friendship is unnecessary, like philosophy, like art," C.S. Lewis wrote in *The Four Loves*, his 1960 theological book that examines the meaning of love. "It has no survival value; rather it is one of those things that gives value to survival."** 4

We've been thinking a lot about this quote recently as we try to understand more deeply the "Friendship Recession" that has gripped American life over the last several decades. 5

We've previously written about how this crisis has hit men particularly hard (see *WILTW* March 13, 2025). But in truth, across all generations and all sexes, **Americans are spending less time with each other than at any point in modern history:** We don't hang out as much, we don't volunteer as much, we don't participate in community groups as much—at a cost that has imperiled our mental health and happiness. 6

The aftershocks of America's decline in friendships are especially detrimental to young people. To learn how to navigate the world, kids and teens need to be in the world. As research has shown, the best kind of play is unsupervised and outdoors (see *WILTW* March 5, 2026). But equally important, it's with other kids. **Negotiating boundaries, caring for another's needs, managing conflict, and tolerating discomfort—the lessons we learn from our friendships at a young age greatly influence the quality of our relationships later in life.** 7

"Friendships during the teenage years provide youth with one of their first forays into intimate consensual relationships," reports Dr. David Szwedo of James Madison University, co-author of a 2024 paper that tracked 184 participants, from their early teen years into their late twenties. **Over time, researchers found, close friendships during the older teen years in particular, predicted lower social anxiety and romantic insecurity and higher job satisfaction**. "Because friends may come and go, friendships are a context in which teens 8

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must develop skills to maintain and grow the friendship or risk its loss. These skills are likely to be subsequently helpful for forming future friendships and longer-term romantic relationships." 3

As we've written about extensively in recent years, rates of loneliness have soared as technology—led in no small part by the advent of the smartphone in 2007—has increasingly dominated how we live, work, and socialize (see articles). The cost of this shift is enormous: **Loneliness makes people more prone to depression, dementia progression, hypertension, stroke, and cancer.** 4

But Big Tech isn't the sole culprit of this development. **The dominance of a screen-based life and the rise of social media merely accelerated a social isolation trend that began long before the first personal computer hit the market.** In his seminal 2000 book, *Bowling Alone: The Collapse and Revival of American Community*, political scientist Robert D. Putnam examined this change. 5

Putnam argues that the 1970s marked a new era of withdrawal in American life as the shared interest and investment in social infrastructure—our community centers, our libraries, our public pools—waned. Involvement in a range of organizations, from churches to book clubs to bowling leagues, eroded. From 1985 to 1994 alone, participation in these kinds of community endeavors fell by nearly half. 6

In retreating from community, Americans have also retreated from each other. One landmark study found that the percentage of **U.S. adults who report having zero close friends has quadrupled since 1990 to 12%, while the number of those who report having ten or more close friends has fallen to one-third of its previous level.** 7

The writer and podcaster Derek Thompson describes this movement as the "privatization of leisure." He argues that "America is suffering a kind of ritual recession, with fewer community-based routines and more entertainment for, and empowerment of, individuals and the aloneness that they choose." 8

The data on young people is especially telling. In 1996, American high school sophomores went out with friends an average of 2.5 times per week, according to the long-running Monitoring the Future project at the University of Michigan. A decade later, at the very time when AOL Instant Messenger had gone mainstream, that same age bracket was only hanging out in person 2.3 times per week. By 2020—just before the pandemic roiled social life— the rate had collapsed to 1.5 times per week. 9

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All manner of teen life has paid the price: **Young Americans are less likely than previous generations to get their driver's license, to go on a date, to get a job. In the late 1970s, 77 percent of high-school seniors had part-time work during the school year; by the mid-2010s, only 55 percent did.** 3

One of the leading experts in this field of study is Dr. Joseph Allen, a professor of psychology at the University of Virginia. Since 1998, he and his team have overseen a longitudinal study of nearly 200 participants who were 13 years old at the time of the project's launch. 4

In an important 2021 survey Allen's team asked study participants, who were at the time 27 years old, questions about the quality of their adult social and romantic relationships, as well as about their depressive symptoms and work performance. Next, they compared the data to earlier interviews with the cohort, their parents, and teen friends on relationship quality. **Good teen friendships, the team found, fostered success later in life.** 5

"Quality relationships with teens were a far better predictor of all of these outcomes than was the quality of the teens' relationships with their parents," Allen reported. "The flip side is just as you'd expect, which is if you did not have good, quality, best-friend relationships as a teenager, in adulthood, by age 25, 26 and 27, you had worse work performance, you had lower-quality relationships with other adults, you had poor-quality romantic relationships and you were more likely to be depressed." 6

All of this comes at an interesting point in human history**. Despite all of our aloneness, American life has never felt so crowded. Our days are consumed by communication: texting, posting, DMing, emailing, calling.** This new order of relationship maintenance is unending and exhausting. 7

Has modern life left us too tired to do the hard work of forming real friendships? 8

Nurturing real bonds with others requires time and patience. It means navigating discomforts, permitting vulnerabilities, and allowing for self-reflection and even criticism. **Our increasingly-dominant online life not only consumes time for real-world relationships but also disincentivizes our pursuit of them.** 9

"Social rejection doesn't just hurt emotionally—it activates the amygdala, the brain's threat detection center, and triggers the same neural pathways as 10

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physical pain," writes Carolyn Bruckmann in the February 2025 issue of *Harvard Kennedy School Magazine*. "Over time, this makes socializing feel riskier, and to avoid that discomfort, we increasingly turn to psychological shortcuts**. Digital interactions offer a sense of control: behind our screens, we can curate our self-presentation, sidestep awkward social cues, and get quick dopamine hits that create the illusion of connection**. Given the way our brains are wired, we also gravitate toward the safest, most familiar spaces—choosing the comfort of home and close family over the unpredictability of community spaces and new relationships." 3

Still, humans are inherently social animals. It is in our lifeblood to make and build connections. To *feel* connected. And as we've noted previously, there is a growing hunger from younger generations to forge a healthy life outside of tech's domain (see *WILTW* May 22, 2025; February 12, 2026). **Across the country, several innovative programs have emerged to help young Americans overcome the country's friendship recession.** 4

Here are a few that have caught our attention: 5

- Project for Public Spaces (PPS): Working with different local organizations, PPS transforms "dead" urban spaces into community gathering spots. **In San Antonio, Texas, for example, it helped turn a concrete underpass into a dedicated teen hangout, complete with a shaded basketball court, ping pong tables, large picnic tables, and seating areas that encourage "loitering."** 6

- Log Off Movement: Launched in 2020 by a high school senior in response to her own struggles with social media**, Log Off provides a toolkit for teens to build analog networks in their own towns.** Its popular "Forks Up, Phones Down" campaign encourages teens to dine together to build authentic human connection.

- CoGenerate: This national **program matches teens with seniors to work together on projects that address different issues affecting their respective communities,** from climate action to healthcare access.

These programs are an inspiration and we hope in the coming years to see others like them develop. The vitality of our survival depends on it. 7

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